BANK MELLAT, HEAD OFFICE: TAHRAN-IRAN İSTANBUL TURKEY MAIN, ANKARA AND İZMİR BRANCHES

INDEPENDENT AUDITOR'S REPORT, FINANCIAL STATEMENTS AND NOTES FOR THE YEAR ENDED 31 DECEMBER 2015

Translated into English from the Original Turkish Report

Deloitte.

DRT Bağımsız Denetim ve
Serbest Muhasebeci
Mali Müşavirlik A.Ş.
Maslak no1 Plaza
Eski Büyükdere Caddesi
Maslak Mahallesi No:1
Maslak, Sarıyer 34398
İstanbul, Türkiye

Tel : +90 (212) 366 6000
Fax : +90 (212) 366 6010
www.deloitte.com.tr

Mersis No: 0291001097600016
Ticari Sicil No : 304099

**CONVENIENCE TRANSLATION OF
THE INDEPENDENT AUDITOR'S REPORT
FOR THE YEAR 1 JANUARY 2015-31 DECEMBER 2015
ORIGINALLY PREPARED AND ISSUED IN TURKISH**

To the Board of Managers of Bank Mellat, Head Office: Tahran-İran İstanbul Turkey Main, Ankara and İzmir Branches:

Report on the Financial Statements

We have audited the accompanying financial statements of Bank Mellat, Head Office: Tahran-İran İstanbul-Turkey Main, Ankara and İzmir Branches ("the Branch") as at 31 December 2015, and the statement of income, statement of income and expense items accounted under shareholders' equity, statement of changes in shareholders' equity and statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information.

Management's Responsibility for the Financial Statements

The Bank Management is responsible for the preparation and fair presentation of the financial statements in accordance with "the Banking Regulation and Supervision Agency ("BRSA") Accounting and Reporting Regulations" including the regulation on "The Procedures and Principles Regarding Banks' Accounting Practices and Maintaining Documents" published in the Official Gazette dated 1 November 2006 with No. 26333, and other regulations on accounting records of banks published by the Banking Regulation and Supervision Board and circulars and pronouncements published by the BRSA and Turkish Accounting Standards for the matters not legislated by the aforementioned regulations, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with the regulation on "Independent Auditing of Banks" published in the Official Gazette dated 2 April 2015 with No. 29314 and Independent Auditing Standards which is a part of Turkish Auditing Standards published by the Public Oversight Accounting and Auditing Standards Authority ("POA"). Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Deloitte.

Opinion

In our opinion, the financial statements present fairly, in all material respects, the financial position of Bank Mellat, Head Office: Tahran-İran İstanbul-Turkey Main, Ankara and İzmir Branches as at 31 December 2015, and of its financial performance and its cash flows for the year then ended in accordance with the BRSA Accounting and Reporting Regulations.

Report on Other Legal and Regulatory Requirements

In accordance with paragraph four of the Article 402 of the Turkish Commercial Code No. 6102 ("TCC"), nothing has come to our attention that may cause us to believe that the Branch's set of accounts and financial statements prepared for the period 1 January-31 December 2015 does not comply with TCC and the provisions of the Company's articles of association in relation to financial reporting.

In accordance with paragraph four of the Article 402 of TCC, the Board of Managers provided us all the required information and documentation with respect to our audit.

Additional paragraph for English translation:

The effect of the differences between the accounting principles summarized in Section 3 and the accounting principles generally accepted in countries in which the accompanying financial statements are to be distributed and International Financial Reporting Standards (IFRS) have not been quantified and reflected in the accompanying financial statements. The accounting principles used in the preparation of the accompanying financial statements differ materially from IFRS. Accordingly, the accompanying financial statements are not intended to present the Bank's financial position and results of its operations in accordance with accounting principles generally accepted in such countries of users of the financial statements and IFRS.

DRT BAĞIMSIZ DENETİM VE SERBEST MUHASEBECİ MALİ MÜŞAVİRLİK A.Ş.
Member of **DELOITTE TOUCHE TOHMATSU LIMITED**

Müjde Şehsuvaroğlu
Partner

İstanbul, 15 April 2016

bank mellat
TÜRKİYE

MERKEZİ TAHRAN İSTANBUL TÜRKİYE MERKEZ ŞUBESİ
Büyükdere Caddesi Binbirçiçek Sokak No. 1
34330, 1.Levent - İSTANBUL - TÜRKİYE
Telefon : (0212) 279 80 15 (pbx)
Faks : (0212) 284 62 14 - 284 66 57
Tic. Sic. No : 181790 - İstanbul
Swift : BKMTTRIS
E-mail : mellat@mellatbank.com
Web : www.mellatbank.com

THE UNCONSOLIDATED FINANCIAL REPORT OF BANK MELLAT, HEAD OFFICE: TAHRAN-İRAN İSTANBUL TURKEY MAIN, ANKARA AND İZMİR BRANCHES AS OF 31 DECEMBER 2015

Headquarter's Address	: Taleghani Avenue. No: 327 Tahran – İran
Turkey Main Branch Address	: Büyükdere Cd. Binbirçiçek Sk. No:1 34330 1.Levent-İstanbul/Türkiye
Telephone	: (0212) 279 80 15
Fax	: (0212) 284 62 14
Website	: www.mellatbank.com
E-mail address	: mellat@mellatbank.com

The year end unconsolidated financial report designed by the Banking Regulation and Supervision Agency in line with Communiqué on Financial Statements to be Publicly Announced and the Related Policies and Disclosures consists of the sections listed below:

- GENERAL INFORMATION ABOUT THE BRANCH
- UNCONSOLIDATED FINANCIAL STATEMENTS OF THE BRANCH
- EXPLANATIONS ON THE CORRESPONDING ACCOUNTING POLICIES APPLIED IN THE RELATED PERIOD
- INFORMATION ON FINANCIAL STRUCTURE OF THE BRANCH
- EXPLANATORY DISCLOSURES AND FOOTNOTES ON UNCONSOLIDATED FINANCIAL STATEMENTS OTHER EXPLANATIONS
- INDEPENDENT AUDITOR'S REPORT

The unconsolidated financial statements and the explanatory footnotes and disclosures, unless otherwise indicated, are prepared in **thousands of Turkish Lira**, in accordance with the Communique on Banks' Accounting Practice and Maintaining Documents, Turkish Accounting Standards, Turkish Financial Reporting Standards, related communiqués and the Banks' records, have been independently audited and presented as attached.

Y. Çağala

Ali Rastegar	Kourosh Maadelat	Ahmad Jamehdor	Yusuf Çağala
Chairman of the Board of Managers	Member of the Board of Managers	Deputy General Manager	Member of the Board of Managers and Internal Systems Executive

Information related to responsible personnel for the questions can be raised about financial statements:

Name-Surname / Title	: Yener Bozkurt / Accounting Department Chief
Phone No	: (0212) 279 80 15
Fax No	: (0212) 284 62 14

SECTION ONE

GENERAL INFORMATION

SECTION TWO

UNCONSOLIDATED FINANCIAL STATEMENTS

SECTION THREE

EXPLANATIONS ON ACCOUNTING POLICIES

SECTION FOUR

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH

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EXPLANATIONS ON INDEPENDENT AUDITOR'S REPORT

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

SECTION ONE

GENERAL INFORMATION

I. HISTORY OF THE BRANCH, INCLUDING ITS ESTABLISHMENT DATE, INITIAL LEGAL STATUS AND AMENDMENTS TO LEGAL STATUS, IF ANY:

Bank Mellat, Head Office: Tahran-İran İstanbul Türkiye Main, Ankara and İzmir Branches ("the Branch"), which is based in Tahran, Iran, established its branches in Istanbul, Ankara and Izmir on 18 August 1981, 23 February 1984 and 16 January 1992, respectively. The branches are registered under the scope of Foreign Capital Encouragement Law No. 6224, which permits the transfer of distributable profits to the Headquarter. The branches started operations after getting the approval from the Treasury Undersecretariat in April 1982, May 1985 and October 1992, respectively.

II. EXPLANATION ABOUT THE BRANCH'S SHAREHOLDING STRUCTURE, SHAREHOLDERS WHO INDIVIDUALLY OR JOINTLY HAVE POWER TO CONTROL THE MANAGEMENT AND AUDIT DIRECTLY OR INDIRECTLY, CHANGES REGARDING THESE SUBJECTS DURING THE YEAR, IF ANY, AND INFORMATION ABOUT THE CONTROLLING GROUP OF THE BRANCH:

The shareholding structure of the main shareholder of the Branch – Bank Mellat Tahran, Iran, is as follows:

Shareholders	**31 December 2015 (**)Share Percentage (%)**	**31 December 2014 (*)Share Percentage (%)**
Justice share recipients (provincial investors)	30,00	30,00
Islamic Republic of Iran	18,95	19,07
Saba Tamin Investment Co.	9,91	5,7
Bank Mellat's Staff Future Security Fund	6,99	5,92
Social Security Organisation of Iran	3,81	9,99
Mellat Financial Group Co.	3,43	3,99
Personnel Shares	-	3,71
Other Shares Quoted on Stock Exchange	26,91	21,62
Toplam	**100,00**	**100,00**

(*) These shares have been distributed to the provinces of Iran and investment firms have been established within the provinces to be able to manage the shares. This was proclaimed to BRSA with the correspondance dated on 16 August 2011.

(**)Shareholding structure of the Bank Mellat of Tehran-Iran as of 31 December 2015 which has been issued by Stock and Shares Office, has been reported to the BRSA (Banking Regulation and Supervision Agency) in the statement dated 11 January 2016 and with No. 236.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

GENERAL INFORMATION (Continued)

III. EXPLANATION ABOUT THE BRANCH'S CHAIRMAN AND MEMBERS OF THE BOARD OF MANAGERS, MEMBERS OF THE AUDIT COMMITTEE, PRESIDENT AND EXECUTIVE VICE PRESIDENTS, ANY CHANGES, AND THE INFORMATION ABOUT THE BRANCH SHARES THEY HOLD:

Title	Name	Responsibility	Title
Chairman of the Board of Managers:	Ali Rastegar	Chairman	Master
Members of Board of Managers:	Ahmad Jamehdor	Deputy General Manager	Under Graduate
	Kouros Maddelat	Member	Master
Assistant General Manager /Vice General Managers:	Yusuf Çağala	Internal Audit, Internal Control and Risk Management	Under Graduate
	Ahmad Jamehdor	Financial Controlling, Treasury, Human Resources, Information Systems, Administrative and Operations Assistant General Manager	Under Graduate
	Nader Motedaien	Current Accounts Assistant General Manager	Under Graduate

The individuals above do not possess shares in the Branch. Bank Mellat is the only shareholder and owns all shares of the Branch.

IV. INFORMATION ON SHAREHOLDERS HAVING QUALIFIED SHARES:

	31 December 2015			
Name/Commercial title	**Share amounts**	**Share percentage**	**Paid-in capital**	**Unpaid portion**
Justice share recipients (provincial investors)	47.074	30,00%	47.074	-
Islamic Republic of Iran	29.735	18,95%	29.923	-

	31 December 2014			
Name/Commercial title	**Share amounts**	**Share percentage**	**Paid-in capital**	**Unpaid portion**
Justice share recipients (provincial investors)	47.074	30,00%	47.074	-
Islamic Republic of Iran	29.923	19,07%	29.923	-

V. BRIEF INFORMATION ON THE BRANCH'S SERVICES AND AREAS OF OPERATION:

The Branch operates in banking services and its core business activity is financing the commercial activities between The Republic of Turkey and Islamic Republic of Iran.

As of 31 December 2015, the Branch has 48 employees (31 December 2014: 48 employees).

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

SECTION TWO
UNCONSOLIDATED FINANCIAL STATEMENTS

I. BALANCE SHEET (STATEMENT OF FINANCIAL POSITION)

	ASSETS	Note	CURRENT PERIOD 31 December 2015			PRIOR PERIOD 31 December 2014		
			TL	FC	Total	TL	FC	Total
I.	CASH AND BALANCES WITH CENTRAL BANK	(I-a)	2.488	41.757	44.245	3.122	53.949	57.071
II.	FINANCIAL ASSETS AT FAIR VALUE THROUGH PROFIT OR LOSS (Net)	(I-b)	-	-	-	-	-	-
2.1	Trading Financial Assets		-	-	-	-	-	-
2.1.1	Public Debt Securities		-	-	-	-	-	-
2.1.2	Share Certificates		-	-	-	-	-	-
2.1.3	Trading Derivative Financial Assets		-	-	-	-	-	-
2.1.4	Other Marketable Securities		-	-	-	-	-	-
2.2	Financial Assets Designated at Fair Value through Profit or Loss		-	-	-	-	-	-
2.2.1	Public Debt Securities		-	-	-	-	-	-
2.2.2	Share Certificates		-	-	-	-	-	-
2.2.3	Loans		-	-	-	-	-	-
2.2.4	Other Marketable Securities		-	-	-	-	-	-
III.	BANKS	(I-c)	34.170	81.831	116.001	32.296	66.822	99.118
IV.	MONEY MARKETS		7.201	-	7.201	6.001	-	6.001
4.1	Interbank Money Market Placements		7.201	-	7.201	6.001	-	6.001
4.2	Receivables from Istanbul Stock Exchange Money Market		-	-	-	-	-	-
4.3	Receivables from Reverse Repurchase Agreements		-	-	-	-	-	-
V.	AVAILABLE-FOR-SALE FINANCIAL ASSETS (Net)	(I-d)	152.216	-	152.216	142.212	-	142.212
5.1	Share Certificates		727	-	727	967	-	967
5.2	Public Debt Securities		146.573	-	146.573	130.650	-	130.650
5.3	Other Marketable Securities		4.916	-	4.916	10.595	-	10.595
VI.	LOANS AND RECEIVABLES	(I-e)	9.033	1.423	10.456	10.875	-	10.875
6.1	Loans and Receivables		4.576	1.423	5.999	6.172	-	6.172
6.1.1	Bank's Risk Group		58	-	58	43	-	43
6.1.2	Public Debt Securities		-	-	-	-	-	-
6.1.3	Other		4.518	1.423	5.941	6.129	-	6.129
6.2	Non-Performing Loans		7.613	-	7.613	7.822	-	7.822
6.3	Specific Provisions (-)		(3.156)	-	(3.156)	(3.119)	-	(3.119)
VII.	FACTORING RECEIVABLES		-	-	-	-	-	-
VIII.	HELD-TO-MATURITY SECURITIES (Net)	(I-g)	-	-	-	-	-	-
8.1	Public Debt Securities		-	-	-	-	-	-
8.2	Other Marketable Securities		-	-	-	-	-	-
IX.	INVESTMENTS IN ASSOCIATES (Net)	(I-h)	-	-	-	-	-	-
9.1	Consolidated Based on Equity Method		-	-	-	-	-	-
9.2	Unconsolidated		-	-	-	-	-	-
9.2.1	Financial Investments in Associates		-	-	-	-	-	-
9.2.2	Non-Financial Investments in Associates		-	-	-	-	-	-
X.	SUBSIDIARIES (Net)	(I-i)	-	-	-	-	-	-
10.1	Unconsolidated Financial Subsidiaries		-	-	-	-	-	-
10.2	Unconsolidated Non-financial Subsidiaries		-	-	-	-	-	-
XI.	ENTITIES UNDER COMMON CONTROL (JOINT VENT.) (Net)	(I-j)	-	-	-	-	-	-
11.1	Consolidated Based on Equity Method		-	-	-	-	-	-
11.2	Unconsolidated		-	-	-	-	-	-
11.2.1	Financial Joint Ventures		-	-	-	-	-	-
11.2.2	Non-Financial Joint Ventures		-	-	-	-	-	-
XII.	FINANCIAL LEASE RECEIVABLES (Net)	(I-k)	-	-	-	-	-	-
12.1	Financial Lease Receivables		-	-	-	-	-	-
12.2	Operating Lease Receivables		-	-	-	-	-	-
12.3	Other		-	-	-	-	-	-
12.4	Unearned Income (-)		-	-	-	-	-	-
XIII.	HEDGING DERIVATIVE FINANCIAL ASSETS	(I-l)	-	-	-	-	-	-
13.1	Fair Value Hedge		-	-	-	-	-	-
13.2	Cash Flow Hedge		-	-	-	-	-	-
13.3	Foreign Net Investment Hedge		-	-	-	-	-	-
XIV.	TANGIBLE ASSETS (Net)	(I-m)	8.480	-	8.480	8.257	-	8.257
XV.	INTANGIBLE ASSETS (Net)	(I-n)	73	-	73	169	-	169
15.1	Goodwill		-	-	-	-	-	-
15.2	Other		73	-	73	169	-	169
XVI.	INVESTMENT PROPERTY (Net)	(I-o)	-	-	-	-	-	-
XVII.	TAX ASSET	(I-p)	724	-	724	595	-	595
17.1	Current Tax Asset		-	-	-	-	-	-
17.2	Deferred Tax Asset		724	-	724	595	-	595
XVIII.	ASSETS HELD FOR RESALE AND RELATED TO DISCONTINUED OPERATIONS (Net)	(I-r)	-	-	-	-	-	-
18.1	Held for Sale Purposes		-	-	-	-	-	-
18.2	Related to Discontinued Operations		-	-	-	-	-	-
XIX.	OTHER ASSETS	(I-s)	657	435	1.092	636	1.385	2.021
	TOTAL ASSETS		215.042	125.446	340.488	204.163	122.156	326.319

The accompanying explanations and notes form an integral part of these financial statements.

BANK MELLAT, HEAD OFFICE: TAHRAN-İRAN İSTANBUL TURKEY MAIN, ANKARA AND İZMİR BRANCHES
UNCONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2015

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

I. BALANCE SHEET (STATEMENT OF FINANCIAL POSITION)

	LIABILITIES	Note	CURRENT PERIOD 31 December 2015			PRIOR PERIOD 31 December 2014		
			TL	FC	Total	TL	FC	Total
I.	**DEPOSITS**	(II-a)	21.792	103.287	125.079	16.459	103.996	120.455
1.1	Deposits of Bank's Risk Group		10.493	73.203	83.696	10.871	65.139	76.010
1.2	Other		11.299	30.084	41.383	5.588	38.857	44.445
II.	**TRADING DERIVATIVE FINANCIAL LIABILITIES**	(II-b)	-	-	-	-	-	-
III.	**FUNDS BORROWED**	(II-c)	-	-	-	-	-	-
IV.	**MONEY MARKETS**		-	-	-	-	-	-
4.1	Funds from Interbank Money Market		-	-	-	-	-	-
4.2	Funds from Istanbul Stock Exchange Money Market		-	-	-	-	-	-
4.3	Funds Provided Under Repurchase Agreements		-	-	-	-	-	-
V.	**MARKETABLE SECURITIES ISSUED (Net)**		-	-	-	-	-	-
5.1	Bills		-	-	-	-	-	-
5.2	Asset Backed Securities		-	-	-	-	-	-
5.3	Bonds		-	-	-	-	-	-
VI.	**FUNDS**		-	-	-	-	-	-
6.1	Borrower Funds		-	-	-	-	-	-
6.2	Other		-	-	-	-	-	-
VII.	**SUNDRY CREDITORS**		413	566	979	951	1.557	2.508
VIII.	**OTHER LIABILITIES**	(II-d)	1.285	11	1.296	1.088	8	1.096
IX.	**FACTORING PAYABLES**		-	-	-	-	-	-
X.	**FINANCIAL LEASE PAYABLES (Net)**	(II-e)	-	-	-	-	-	-
10.1	Financial Lease Payables		-	-	-	-	-	-
10.2	Operational Lease Payables		-	-	-	-	-	-
10.3	Other		-	-	-	-	-	-
10.4	Deferred Financial Lease Expenses (-)		-	-	-	-	-	-
XI.	**HEDGING DERIVATIVE FINANCIAL LIABILITIES**	(II-f)	-	-	-	-	-	-
11.1	Fair Value Hedge		-	-	-	-	-	-
11.2	Cash Flow Hedge		-	-	-	-	-	-
11.3	Foreign Net Investment Hedge		-	-	-	-	-	-
XII.	**PROVISIONS**	(II-g)	2.464	1.902	4.366	2.092	1.507	3.599
12.1	General Loan Loss Provision		463	1.824	2.287	547	1.445	1.992
12.2	Restructuring Provisions		-	-	-	-	-	-
12.3	Reserve for Employee Rights		1.801	-	1.801	1.201	-	1.201
12.4	Insurance Technical Provisions (Net)		-	-	-	-	-	-
12.5	Other Provisions		200	78	278	344	62	406
XIII.	**TAX LIABILITY**	(II-h)	767	-	767	726	-	726
13.1	Current Tax Liability		767	-	767	726	-	726
13.2	Deferred Tax Liability		-	-	-	-	-	-
XIV.	**PAYABLES RELATED TO ASSETS HELD FOR SALE AND DISCONTINUED OPERATIONS (Net)**	(II-i)	-	-	-	-	-	-
14.1	Held for Sale		-	-	-	-	-	-
14.2	Discontinued Operations		-	-	-	-	-	-
XV.	**SUBORDINATED LOANS**	(II-j)	-	-	-	-	-	-
XVI.	**SHAREHOLDERS' EQUITY**	(II-k)	208.001	-	208.001	197.935	-	197.935
16.1	Paid-in capital		156.914	-	156.914	156.914	-	156.914
16.2	Capital Reserves		(1.090)	-	(1.090)	275	-	275
16.2.1	Share Premium		-	-	-	-	-	-
16.2.2	Share Cancellation Profits		-	-	-	-	-	-
16.2.3	Marketable Securities Valuation Differences	(II-l)	(781)	-	(781)	275	-	275
16.2.4	Tangible Assets Revaluation Differences		-	-	-	-	-	-
16.2.5	Intangible Assets Revaluation Differences		-	-	-	-	-	-
16.2.6	Revaluation differences of investment property		-	-	-	-	-	-
16.2.7	Bonus Shares from Investments in Associates, Subsidiaries and Joint Ventures (Business Partners)		-	-	-	-	-	-
16.2.8	Hedging Funds (Effective Portion)		-	-	-	-	-	-
16.2.9	Accumulated valuation differences from assets held for sale and from discontinued operations		-	-	-	-	-	-
16.2.10	Other Capital Reserves		(309)	-	(309)	-	-	-
16.3	Profit Reserves		1.352	-	1.352	1.307	-	1.307
16.3.1	Legal Reserves		-	-	-	-	-	-
16.3.2	Status Reserves		-	-	-	-	-	-
16.3.3	Extraordinary Reserves		1.352	-	1.352	1.307	-	1.307
16.3.4	Other Profit Reserves		-	-	-	-	-	-
16.4	Profit or (Loss)		50.825	-	50.825	39.439	-	39.439
16.4.1	Prior Years' Income or (Loss)		39.394	-	39.394	32.469	-	32.469
16.4.2	Current Year Income or (Loss)		11.431	-	11.431	6.970	-	6.970
	TOTAL LIABILITIES		234.722	105.766	340.488	219.251	107.068	326.319

The accompanying explanations and notes form an integral part of these financial statements.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

II. STATEMENT OF OFF-BALANCE SHEET CONTINGENCIES AND COMMITMENTS

	OFF-BALANCE SHEET COMMITMENTS	Note	CURRENT PERIOD 31 December 2015			PRIOR PERIOD 31 December 2014		
			TL	FC	Total	TL	FC	Total
A.	OFF-BALANCE SHEET COMMITMENTS (I+II+III)		3.400	961	4.361	7.793	2.416	10.209
I.	GUARANTEES AND WARRANTIES	(III-a-2, 3)	3.287	961	4.248	7.674	2.416	10.090
1.1.	Letters of Guarantee		3.287	650	3.937	7.674	2.168	9.842
1.1.1	Guarantees Subject to State Tender Law		-	-	-	-	-	-
1.1.2	Guarantees Given for Foreign Trade Operations		-	-	-	-	-	-
1.1.3	Other Letters of Guarantee		3.287	650	3.937	7.674	2.168	9.842
1.2.	Bank Acceptances		-	-	-	-	-	-
1.2.1	Import Letter of Acceptance		-	-	-	-	-	-
1.2.2	Other Bank Acceptances		-	-	-	-	-	-
1.3.	Letters of Credit		-	311	311	-	248	248
1.3.1	Documentary Letters of Credit		-	311	311	-	248	248
1.3.2	Other Letters of Credit		-	-	-	-	-	-
1.4	Prefinancing Given as Guarantee		-	-	-	-	-	-
1.5.	Endorsements		-	-	-	-	-	-
1.5.1	Endorsements to the Central Bank of the Republic of Turkey		-	-	-	-	-	-
1.5.2	Other Endorsements		-	-	-	-	-	-
1.6	Securities Issue Purchase Guarantees		-	-	-	-	-	-
1.7	Factoring Guarantees		-	-	-	-	-	-
1.8	Other Guarantees		-	-	-	-	-	-
1.9	Other Collaterals		-	-	-	-	-	-
II.	COMMITMENTS	(III-a-1)	113	-	113	119	-	119
2.1.	Irrevocable Commitments		113	-	113	119	-	119
2.1.1	Forward Asset Purchase Commitments		-	-	-	-	-	-
2.1.2	Forward Deposit Purchase and Sales Commitments		-	-	-	-	-	-
2.1.3	Share Capital Commitments to Associates and Subsidiaries		-	-	-	-	-	-
2.1.4	Loan Granting Commitments		-	-	-	-	-	-
2.1.5	Securities Underwriting Commitments		-	-	-	-	-	-
2.1.6	Commitments for Reserve Deposit Requirements		-	-	-	-	-	-
2.1.7	Commitments for Cheques		113	-	113	119	-	119
2.1.8	Tax and Fund Liabilities from Export Commitments		-	-	-	-	-	-
2.1.9	Commitments for Credit Card Limits		-	-	-	-	-	-
2.1.10	Commitments for Credit Cards and Banking Services Promotions		-	-	-	-	-	-
2.1.11	Receivables from Short Sale Commitments of Marketable Securities		-	-	-	-	-	-
2.1.12	Payables for Short Sale Commitments of Marketable Securities		-	-	-	-	-	-
2.1.13	Other Irrevocable Commitments		-	-	-	-	-	-
2.2.	Revocable Commitments		-	-	-	-	-	-
2.2.1	Revocable Loan Granting Commitments		-	-	-	-	-	-
2.2.2	Other Revocable Commitments		-	-	-	-	-	-
III.	DERIVATIVE FINANCIAL INSTRUMENTS	(III-b)	-	-	-	-	-	-
3.1.	Hedging Derivative Financial Instruments		-	-	-	-	-	-
3.1.1	Transactions for Fair Value Hedge		-	-	-	-	-	-
3.1.2	Transactions for Cash Flow Hedge		-	-	-	-	-	-
3.1.3	Transactions for Foreign Net Investment Hedge		-	-	-	-	-	-
3.2.	Trading Transactions		-	-	-	-	-	-
3.2.1.	Forward Foreign Currency Buy/Sell Transactions		-	-	-	-	-	-
3.2.1.1	Forward Foreign Currency Transactions-Buy		-	-	-	-	-	-
3.2.1.2	Forward Foreign Currency Transactions-Sell		-	-	-	-	-	-
3.2.2.	Swap Transactions Related to Foreign Currency and Interest Rates		-	-	-	-	-	-
3.2.2.1	Foreign Currency Swap-Buy		-	-	-	-	-	-
3.2.2.2	Foreign Currency Swap-Sell		-	-	-	-	-	-
3.2.2.3	Interest Rate Swap-Buy		-	-	-	-	-	-
3.2.2.4	Interest Rate Swap-Sell		-	-	-	-	-	-
3.2.3.	Foreign Currency, Interest Rate and Securities Options		-	-	-	-	-	-
3.2.3.1	Foreign Currency Options-Buy		-	-	-	-	-	-
3.2.3.2	Foreign Currency Options-Sell		-	-	-	-	-	-
3.2.3.3	Interest Rate Options-Buy		-	-	-	-	-	-
3.2.3.4	Interest Rate Options-Sell		-	-	-	-	-	-
3.2.3.5	Securities Options-Buy		-	-	-	-	-	-
3.2.3.6	Securities Options-Sell		-	-	-	-	-	-
3.2.4.	Foreign Currency Futures		-	-	-	-	-	-
3.2.4.1	Foreign Currency Futures-Buy		-	-	-	-	-	-
3.2.4.2	Foreign Currency Futures-Sell		-	-	-	-	-	-
3.2.5.	Interest Rate Futures		-	-	-	-	-	-
3.2.5.1	Interest Rate Futures-Buy		-	-	-	-	-	-
3.2.5.2	Interest Rate Futures-Sell		-	-	-	-	-	-
3.2.6	Other		-	-	-	-	-	-
B.	CUSTODY AND PLEDGES RECEIVED (IV+V+VI)		76.682	1.047.259	1.123.941	47.837	911.673	959.510
IV.	ITEMS HELD IN CUSTODY		498	43	541	169	13	182
4.1	Customer Fund and Portfolio Balances		-	-	-	-	-	-
4.2	Investment Securities Held in Custody		-	-	-	-	-	-
4.3	Checks Received for Collection		25	43	68	143	13	156
4.4	Commercial Notes Received for Collection		473	-	473	26	-	26
4.5	Other Assets Received for Collection		-	-	-	-	-	-
4.6	Assets Received for Public Offering		-	-	-	-	-	-
4.7	Other Items Under Custody		-	-	-	-	-	-
4.8	Custodians		-	-	-	-	-	-
V.	PLEDGES RECEIVED		14.368	171.468	185.836	19.401	139.892	159.293
5.1	Marketable Securities		-	-	-	-	-	-
5.2	Guarantee Notes		7.621	48.236	55.857	12.265	31.178	43.443
5.3	Commodity		-	-	-	-	-	-
5.4	Warranty		-	-	-	-	-	-
5.5	Immovable		5.347	122.904	128.251	6.352	108.363	114.715
5.6	Other Pledged Items		1.400	328	1.728	784	351	1.135
5.7	Pledged Items-Depository		-	-	-	-	-	-
VI.	ACCEPTED INDEPENDENT GUARANTEES AND WARRANTIES		61.816	875.748	937.564	28.267	771.768	800.035
	TOTAL OFF-BALANCE SHEET COMMITMENTS (A+B)		80.082	1.048.220	1.128.302	55.630	914.089	969.719

The accompanying explanations and notes form an integral part of these financial statements.

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III. STATEMENT OF INCOME

	INCOME AND EXPENSE ITEMS	Note	CURRENT PERIOD (01/01/2015-31/12/2015)	PRIOR PERIOD (01/01/2014-31/12/2014)
I.	INTEREST INCOME	(IV-a)	19.954	15.380
1.1	Interest on Loans	(IV-a-1)	3.230	1.854
1.2	Interest Received from Reserve Requirements		55	4
1.3	Interest Received from Banks	(IV-a-2)	3.146	1.830
1.4	Interest Received from Money Market Transactions		381	809
1.5	Interest Received from Marketable Securities Portfolio	(IV-a-3)	13.117	10.866
1.5.1	Trading Financial Assets		-	-
1.5.2	Financial Assets at Fair Value Through Profit or Loss		-	-
1.5.3	Available-for-sale Financial Assets		13.117	10.866
1.5.4	Held-to-Maturity Investments		-	-
1.6	Financial Lease Income		-	-
1.7	Other Interest Income		25	17
II.	INTEREST EXPENSE	(IV-b)	(416)	(251)
2.1	Interest on Deposits	(IV-b-4)	(416)	(251)
2.2	Interest on Funds Borrowed	(IV-b-1)	-	-
2.3	Interest Expense on Money Market Transactions		-	-
2.4	Interest on Securities Issued	(IV-b-3)	-	-
2.5	Other Interest Expenses		-	-
III.	NET INTEREST INCOME (I + II)		19.538	15.129
IV.	NET FEES AND COMMISSIONS INCOME		817	1.543
4.1	Fees and Commissions Received		1.080	1.630
4.1.1	Non-cash Loans		616	1.202
4.1.2	Other		464	428
4.2	Fees and Commissions Paid		(263)	(87)
4.2.1	Non-cash Loans		-	-
4.2.2	Other		(263)	(87)
V.	DIVIDEND INCOME	(IV-c)	-	-
VI.	TRADING INCOME/(LOSS) (Net)	(IV-d)	2.845	641
6.1	Trading Gains / (Losses) on Securities		-	-
6.2	Trading Gains/(Losses) on Derivative Financial Instruments		-	-
6.3	Foreign Exchange Gains / (Losses)		2.845	641
VII.	OTHER OPERATING INCOME	(IV-e)	382	781
VIII.	TOTAL OPERATING INCOME (III+IV+V+VI+VII)		23.582	18.094
IX.	PROVISION FOR LOAN LOSSES AND OTHER RECEIVABLES (-)	(IV-f)	(285)	(1.156)
X.	OTHER OPERATING EXPENSES (-)	(IV-g)	(9.060)	(8.201)
XI.	NET OPERATING INCOME/(LOSS) (VIII+IX+X)		14.237	8.737
XII.	EXCESS AMOUNT RECORDED AS INCOME AFTER MERGER		-	-
XIII.	GAIN / (LOSS) ON EQUITY METHOD		-	-
XIV.	GAIN / (LOSS) ON NET MONETARY POSITION		-	-
XV.	PROFIT/(LOSS) FROM CONTINUED OPERATIONS BEFORE TAXES (XI+...+XIV)	(IV-h)	14.237	8.737
XVI.	PROVISION FOR TAXES ON INCOME FROM CONTINUING OPERATIONS (±)	(IV-i)	(2.806)	(1.767)
16.1	Current Tax Provision		(2.717)	(1.880)
16.2	Deferred Tax Provision		(89)	113
XVII.	NET PROFIT/LOSSES FROM CONTINUING OPERATIONS (XV±XVI)		11.431	6.970
XVIII.	INCOME FROM DISCONTINUED OPERATIONS		-	-
18.1	Income on assets held for sale		-	-
18.2	Income on sale of associates, subsidiaries and entities under common control (Joint vent.)		-	-
18.3	Income on other discontinued operations		-	-
XIX.	LOSS FROM DISCONTINUED OPERATIONS (-)		-	-
19.1	Loss from assets held for sale		-	-
19.2	Loss on sale of associates, subsidiaries and jointly controlled entities (Joint vent.)		-	-
19.3	Loss from other discontinued operations		-	-
XX.	PROFIT /LOSSES BEFORE TAXES FROM DISCONTINUED OPERATIONS (XVIII-XIX)		-	-
XXI.	PROVISION FOR INCOME TAXES FROM DISCONTINUED OPERATIONS (±)		-	-
21.1	Current Tax Provision		-	-
21.2	Deferred Tax Provision		-	-
XXII.	NET PROFIT/LOSSES FROM DISCONTINUED OPERATIONS (XX±XXI)		-	-
XXIII.	NET PROFIT/LOSSES (XVII+XXII)	(IV-j)	11.431	6.970
	Earnings/(Loss) per share		-	-

The accompanying explanations and notes form an integral part of these financial statements.

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IV. STATEMENT OF PROFIT AND LOSS ACCOUNTED FOR UNDER EQUITY

	PROFIT AND LOSS ACCOUNTED FOR UNDER EQUITY	CURRENT PERIOD 1 Januaary - 31 December 2015	PRIOR PERIOD 1 Januaary - 31 December 2014
I.	ADDITIONS TO THE MARKETABLE VALUATION DIFFERENCES FROM THE AVAILABLE FOR SALE FINANCIAL ASSETS	(1.320)	2.843
II.	TANGIBLE ASSETS REVALUATION DIFFERENCES	-	-
III.	INTANGIBLE ASSETS REVALUATION DIFFERENCES	-	-
IV.	CURRENCY TRANSLATION DIFFERENCES FOR FOREIGN CURRENCY TRANSACTIONS	-	-
V.	PROFIT OR LOSS ON CASH FLOW HEDGE DERIVATIVE FINANCIAL ASSETS (Effective part of the fair value differences)	-	-
VI.	THE EFFECT OF CORRECTION OF ERRORS AND CHANGES IN ACCOUNTING POLICIES	-	-
VII.	EFFECTS OF CHANGES IN ACCOUNTING POLICY AND ADJUSTMENT OF ERRORS	-	-
VIII.	OTHER PROFIT AND LOSS ACCOUNTED FOR UNDER EQUITY ACCORDING TO TAS	(386)	-
IX.	DEFERRED TAX RELATED TO VALUATION DIFFERENCES	341	(281)
X.	NET PROFIT OR LOSS ACCOUNTED DIRECTLY UNDER SHAREHOLDERS' EQUITY (I+II+...+IX)	(1.365)	2.562
XI.	CURRENT YEAR PROFIT/LOSS	11.431	(6.970
1.1	Net change in fair value of marketable securities (transfer to profit-loss)	(275)	(1.057)
1.2	Reclassification of cash flow hedge transactions and presentation of the related under income statement	-	-
1.3	Reclassification of foreign net investment hedge transactions and presentation of the related part under income statement	-	-
1.4	Other	11.706	8.027
XII.	TOTAL PROFIT/LOSS RELATED TO THE CURRENT PERIOD (X-XI)	10.066	9.532

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V. STATEMENT OF CHANGES IN SHAREHOLDERS' EQUITY

	PRIOR PERIOD 01/01/2014 – 31/12/2014	Note	Paid-in Capital	Adjustment to Share Capital	Share Premiums	Share Cancellation Profits	Legal Reserves	Status Reserves	Extraordinary Reserves	Other Reserves	Current Period Net Income/(Loss)	Prior Period Net Income/(Loss)	Marketable Securities Value Increase Fund	Tangible and Intangible Assets Revaluation Fund	Bonus Shares From Investment In Associates and Subsidiaries	Hedging Transactions Funds	Held for Resale/ Discontinued Operations Revaluation Fund	Total Shareholders' Equity
I.	Prior Period End Balance		156.914	-	-	-	-	-	1.251	-	6.959	25.566	(1.230)	-	-	-	-	189.460
	Changes during the period																	
II.	Increase/Decrease due to the Merger		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
III.	Marketable Securities Valuation Differences	(V-d)	-	-	-	-	-	-	-	-	-	-	1.505	-	-	-	-	1.505
IV.	Hedging Funds (Effective Portion)		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
4.1	Cash Flow Hedge		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
4.2	Foreign Investment Hedge		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
V.	Tangible Assets Revaluation Differences		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
VI.	Intangible Assets Revaluation Differences		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
VII.	Bonus Shares Obtained from Associates, Subsidiaries and Entities Under Common Control (Joint vent.)		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
VIII.	Foreign Exchange Differences		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
IX.	The Disposal of Assets		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
X.	The Reclassification of Assets		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XI.	Effect of the Changes in Investment in Associates' Equity to the Bank's Equity		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XII.	Capital Increase	(V-c)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
12.1	Cash Increase		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
12.2	Internal Resources		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XIII.	Share Premium		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XIV.	Share Cancellation Profits		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XV.	Paid in-capital Adjustment Difference		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XVI.	Other		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XVII.	Current Year Income or Loss		-	-	-	-	-	-	-	-	6.970	-	-	-	-	-	-	6.970
XVIII.	Profit Distribution	(V-a)	-	-	-	-	-	-	56	-	(6.959)	6.903	-	-	-	-	-	-
18.1	Dividend Paid		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
18.2	Transfers to Reserves	(V-b)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
18.3	Other		-	-	-	-	-	-	56	-	(6.959)	6.903	-	-	-	-	-	-
	Period End Balance (I+...+XVIII)		156.914	-	-	-	-	-	1.307	-	6.970	32.469	275	-	-	-	-	197.935

The accompanying explanations and notes form an integral part of these financial statements.

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V. STATEMENT OF CHANGES IN SHAREHOLDERS' EQUITY (Continued)

	CURRENT PERIOD 01/01/2015 – 31/12/2015	Note	Paid-in Capital	Adjustment to Share Capital	Share Premiums	Share Cancellation Profits	Legal Reserves	Status Reserves	Extraordinary Reserves	Other Reserves	Current Period Net Income/(Loss)	Prior Period Net Income/ (Loss)	Marketable Securities Value Increase Fund	Tangible and Intangible Assets Revaluation Fund	Bonus Shares From Investment in Associates and Subsidiaries	Hedging Transactions Funds	Held for Resale/ Discontinued Operations Revaluation Fund	Total Shareholders' Equity
I.	Prior Period End Balance		156.914	-	-	-	-	-	1.307	-	6.970	32.469	275	-	-	-	-	197.935
	Changes during the period		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
II.	Increase/Decrease due to the Merger		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
III.	Marketable Securities Valuation Differences	(V-d)	-	-	-	-	-	-	-	-	-	-	(1.056)	-	-	-	-	(1.056)
IV.	Hedging Funds (Effective Portion)		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
4.1	Cash Flow Hedge		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
4.2	Foreign Investment Hedge		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
V.	Tangible Assets Revaluation Differences		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
VI.	Intangible Assets Revaluation Differences		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
VII.	Bonus Shares Obtained from Associates, Subsidiaries and Entities Under Common Control (Joint vent.)		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
VIII.	Foreign Exchange Differences		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
IX.	The Disposal of Assets		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
X.	The Reclassification of Assets		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XI.	Effect of the Changes in Investment in Associates' Equity to the Bank's Equity		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XII.	Capital Increase	(V-c)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
12.1	Cash Increase		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
12.2	Internal Resources		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XIII.	Share Premium		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XIV.	Share Cancellation Profits																	
XV.	Paid in-capital Adjustment Difference		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XVI.	Other		-	-	-	-	-	-	-	(309)	-	-	-	-	-	-	-	(309)
XVII.	Current Year Income or Loss		-	-	-	-	-	-	-	-	11.431	-	-	-	-	-	-	11.431
XVIII.	Profit Distribution	(V-a)	-	-	-	-	-	-	45	-	(6.970)	6.925	-	-	-	-	-	-
18.1	Dividend Paid		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
18.2	Transfers to Reserves	(V-b)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
18.3	Other		-	-	-	-	-	-	45	-	(6.970)	6.925	-	-	-	-	-	-
	Period End Balance (I+…+XVIII)		156.914	-	-	-	-	-	1.352	(309)	11.431	39.394	(781)	-	-	-	-	208.001

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VI. STATEMENT OF CASH FLOWS

	STATEMENT OF CASH FLOWS	Note	CURRENT PERIOD (01/01/2015 – 31/12/2015)	PRIOR PERIOD (01/01/2014 – 31/12/2014)
A.	CASH FLOWS FROM BANKING OPERATIONS			
1.1	Operating Profit before changes in operating assets and liabilities		9.344	3.996
1.1.1	Interest received		19.830	14.457
1.1.2	Interest paid		(464)	(263)
1.1.3	Dividend received		-	-
1.1.4	Fees and commissions received		1.112	1.659
1.1.5	Other income		114	113
1.1.6	Collections from previously written-off loans and other receivables		309	-
1.1.7	Payments to personnel and service suppliers		(6.152)	(5.625)
1.1.8	Taxes paid		(2.697)	(2.374)
1.1.9	Other		(2.708)	(3.971)
1.2	Changes in operating assets and liabilities		3.691	(5.789)
1.2.1	Net (increase) / decrease in trading financial assets		-	-
1.2.2	Net (increase) / decrease in fair value through profit/loss financial assets		-	-
1.2.3	Net (increase) / decrease in banks		(12)	1
1.2.4	Net (increase) / decrease in loans		392	12.120
1.2.5	Net (increase) / decrease in other assets		622	(888)
1.2.6	Net increase in bank deposits		18.476	24.902
1.2.7	Net increase / (decrease) in other deposits		(13.775)	(42.056)
1.2.8	Net (decrease) in funds borrowed		-	-
1.2.9	Net increase / (decrease) in payables		-	-
1.2.10	Net increase in other liabilities		(1.742)	132
I.	**Net cash provided from banking operations**		**13.305**	**(1.793)**
B.	CASH FLOWS FROM INVESTING ACTIVITIES			
II.	**Net cash provided from investing activities**		**(11.902)**	**10.270**
2.1	Cash paid for purchase of entities under common control, associates and subsidiaries (Joint Vent.)		-	-
2.2	Cash obtained from sale of entities under common control, associates and subsidiaries (Joint Vent.)		-	-
2.3	Fixed assets purchases		(539)	(139)
2.4	Fixed assets sales		-	6
2.5	Cash paid for purchase of investments available-for-sale		(115.854)	(124.413)
2.6	Cash obtained from sale of investments available-for-sale		104.491	134.816
2.7	Cash paid for purchase of investment securities		-	-
2.8	Cash obtained from sale of investment securities		-	-
2.9	Other		-	-
C.	CASH FLOWS FROM FINANCING ACTIVITIES			
III.	**Net cash provided from financing activities**		-	-
3.1	Cash obtained from funds borrowed and securities issued		-	-
3.2	Cash used for repayment of funds borrowed and securities issued		-	-
3.3	Capital increase		-	-
3.4	Dividends paid		-	-
3.5	Payments for finance leases		-	-
3.6	Other		-	-
IV.	**Effect of change in foreign exchange rate on cash and cash equivalents**	(VI-a)	**3.728**	**1.706**
V.	**Net increase in cash and cash equivalents (I + II + III + IV)**		**5.131**	**10.183**
VI.	**Cash and cash equivalents at beginning of the period**	(VI-a)	**162.140**	**151.957**
VII.	**Cash and cash equivalents at end of the period (V + VI)**	(VI-a)	**167.271**	**162.140**

The accompanying explanations and notes form an integral part of these financial statements

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

VII. PROFIT DISTRIBUTION TABLE

		CURRENT PERIOD (01/01/2015 – 31/12/2015)	PRIOR PERIOD (01/01/2014 – 31/12/2014)
I.	**DISTRIBUTION OF CURRENT YEAR INCOME**		
1.1	Current Year Income	14.237	8.737
1.2	Taxes And Duties Payable (-)	(2.806)	(1.767)
1.2.1	Corporate Tax (Income tax)	(2.717)	(1.880)
1.2.2	Income withholding tax	-	-
1.2.3	Other taxes and duties (*)	(89)	113
A.	**NET INCOME FOR THE YEAR (1.1-1.2)**	11.431	6.970
1.3	Prior Year Losses (-)	-	-
1.4	First Legal Reserves (-)	-	-
1.5	Other Statutory Reserves (-)	-	-
B.	**NET INCOME AVAILABLE FOR DISTRIBUTION [(A+(1.3+1.4+15)]**	11.431	6.970
1.6	First Dividend To Shareholders (-)	-	-
1.6.1	To Owners Of Ordinary Shares	-	-
1.6.2	To Owners Of Preferred Shares	-	-
1.6.3	To Owners Of Preferred Shares (Preemptive Rights)	-	-
1.6.4	To Profit Sharing Bonds	-	-
1.6.5	To Holders Of Profit And Loss Sharing Certificates	-	-
1.7	Dividends To Personnel (-)	-	-
1.8	Dividends To Board Of Directors (-)	-	-
1.9	Second Dividend To Shareholders (-)	-	-
1.9.1	To Owners Of Ordinary Shares	-	-
1.9.2	To Owners Of Preferred Shares	-	-
1.9.3	To Owners Of Preferred Shares (Preemptive Rights)	-	-
1.9.4	To Profit Sharing Bonds	-	-
1.9.5	To Holders Of Profit And Loss Sharing Certificates	-	-
1.10	Second Legal Reserves (-)	-	-
1.11	Statutory Reserves (-)	-	-
1.12	Extraordinary Reserves	-	45
1.13	Other Reserves	-	-
1.14	Special Funds	-	-
II.	**DISTRIBUTION OF RESERVES**		
2.1	Distributed Reserves	-	-
2.2	Second Legal Reserves (-)	-	-
2.3	Dividends To Shareholders (-)	-	-
2.3.1	To Owners Of Ordinary Shares	-	-
2.3.2	To Owners Of Preferred Shares	-	-
2.3.3	To Owners Of Preferred Shares	-	-
2.3.4	To Profit Sharing Bonds	-	-
2.3.5	To Holders Of Profit And Loss Sharing Certificates	-	-
2.4	Dividends To Personnel (-)	-	-
2.5	Dividends To Board Of Directors (-)	-	-
III.	**EARNINGS PER SHARE**		
3.1	To Owners Of Ordinary Shares	-	-
3.2	To Owners Of Ordinary Shares (%)	-	-
3.3	To Owners Of Preferred Shares	-	-
3.4	To Owners Of Preferred Shares (%)	-	-
IV.	**DIVIDEND PER SHARE**		
4.1	To Owners Of Ordinary Shares	-	-
4.2	To Owners Of Ordinary Shares (%)	-	-
4.3	To Owners Of Preferred Shares	-	-
4.4	To Owners Of Preferred Shares (%)	-	-

Note: As of date of these financial statements, profit distribution for 2015 has not yet been determined.
(*) Deferred tax income is presented under other tax and legal duties. Deferred tax income should be deducted during profit distribution, thus it is classified under extraordinary reserves.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

VIII. CONSOLIDATED FINANCIAL STATEMENTS OF THE BRANCH'S HEADQUARTER

As at 20 March 2014, the financial statements issued by the Headquarters of the Branch is presented below. The Headquarters of the Branch did not issue financial statements as at 20 March 2015 and 20 March 2014.

BANK MELLAT (IRAN)
CONSOLIDATED COMPARATIVE BALANCE SHEET
(THOUSANDS OF USD)

	CURRENT PERIOD (20 March 2015)	**PRIOR PERIOD (20 March 2014)(*)**
Cash and cash equivalents	791.862	726.995
Central bank	5.751.951	3.907.289
Other assets	46.158.994	45.283.799
Total Assets	**52.702.807**	**49.918.083**
Deposits	33.806.363	33.259.439
Other liabilities	15.971.970	13.857.938
Shareholders' equity	2.924.474	2.800.706
Total Liabilities	**52.702.807**	**49.918.083**

BANK MELLAT (IRAN)
CONSOLIDATED COMPARATIVE INCOME STATEMENT
(THOUSANDS OF USD)

	CURRENT PERIOD (20 March 2015)	**PRIOR PERIOD (20 March 2014)(*)**
Interest and investment income	4.567.388	3.462.856
Interest expense on deposits	(3.425.419)	(2.127.798)
Other expenses	(984.671)	(667.080)
Other income	2.359.847	1.952.022
Total net income	2.517.145	2.620.000
Personnel and operating expenses	(1.931.732)	(1.747.888)
Profit before tax	585.413	872.112
Taxes payables	(52.529)	(83.068)
Net Profit	**532.884**	**789.044**

(*) As restated.

SECTION THREE

EXPLANATIONS ON ACCOUNTING POLICIES

I. EXPLANATIONS ON THE BASIS OF PRESENTATION:

The preparation of the financial statements and related notes and explanations in accordance with the Turkish Accounting Standards and Regulation on the Accounting Applications for Banks and Safeguarding of Documents:

The Branch, financial statements in accordance with "the Banking Regulation and Supervision Agency ("BRSA") Accounting and Reporting Regulation" which includes the regulation on "The Procedures and Principles Regarding Banks' Accounting Practices and Maintaining Documents" published in the Official Gazette dated 1 November 2006 with No. 26333, and other regulations on accounting records of banks published by the Banking Regulation and Supervision Board and circulars and pronouncements published by the BRSA and Turkish Accounting Standards published by the Public Oversight Accounting and Auditing Standards Authority for the matters not regulated by the aforementioned legislations.

II. EXPLANATIONS ON STRATEGY OF USING FINANCIAL INSTRUMENTS AND FOREIGN CURRENCY TRANSACTIONS:

The Branch's operation scope involves all commercial banking operations and business lines described in the banking legislation.

The Branch invests the funds obtained through fixed rate deposits, loans from Head Office and cash guarantees to short-term, high interest bearing and relatively low risk bank placements and credit for banks. The Branch manages the liquidity risk by providing sufficient cash and cash equivalent sources for its current and contingent liabilities. In this context, the Branch aims at ensuring a liquidity structure which matches liabilities due.

The Branch protects itself from interest rate risk, currency risk and price fluctuations by its investments in short-term placements and provides cash collaterals.

The Branch takes a position according to the currency basket of the Central Bank of the Republic of Turkey ("CBRT") in order to hedge itself against possible foreign exchange risks. The Branch with the change in the currency system to floating currency, limits the total foreign currency position in accordance with the legal limits because of the increasing uncertainties in the changing currency path.

As of 31 December 2015, rates used for conversion of foreign currency balances into Turkish Lira are TL 2,9181 for USD, TL 3,1838 for Euro and TL 0,02418 for Yen.

III. EXPLANATIONS ON INVESTMENTS IN ASSOCIATES AND SUBSIDIARIES:

As of 31 December 2015 and 31 December 2014, the Branch has no investments in associates and subsidiaries.

IV. EXPLANATIONS ON FORWARD TRANSACTIONS, OPTIONS AND DERIVATIVE INSTRUMENTS:

Derivative instruments are measured at fair value on initial recognition and are subsequently re-measured at their fair values. The accounting method for the income or loss arising from derivative instruments depends on the derivative being used for hedging purposes or not and depends on the type of the item being hedged. As of 31 December 2015, the Branch has no derivative instruments that qualify for hedge accounting.

The Branch has no forward transactions, options or other derivative instruments.

V. EXPLANATIONS ON INTEREST INCOME AND EXPENSE:

Interest income and expenses are recognised in the income statement on an accrual basis using the effective interest method.

The Branch, ceases accruing interest income on non-performing loans according to the related regulation.

VI. EXPLANATIONS ON FEE AND COMMISSION INCOME AND EXPENSES:

All fees and commission income/expenses are recognised on an accrual basis, except for certain commission income and fees for various banking services which are accounted for as income when collected. Borrowing fees and commission expenses paid to other financial institutions are recognised as operational costs and recorded using the "effective interest method". Contract based fees or fees received in return for services such as the purchase and sale of assets on behalf of a third party or legal person are recognised as income at the time of collection.

VII. EXPLANATIONS ON FINANCIAL ASSETS:

The Branch classifies and accounts its financial assets as "Fair value through profit or loss", "Available-for-sale", "Loans and receivables" or "Held-to-maturity". Sales and purchases of the financial assets mentioned above are recognised at the "settlement dates". The appropriate classification of financial assets is determined at inception according to Branch management's purpose of purchase.

a. Financial assets at fair value through profit or loss:

This category has two sub categories: "Trading financial assets" and "Financial assets designated at fair value through profit or loss at initial recognition."

Trading financial assets are financial assets which were either acquired for generating a profit from short-term fluctuations in prices or dealers' margin, or are financial assets included in a portfolio in which a pattern of short-term profit making exists.

Trading financial assets are initially recognised at fair value and are subsequently re-measured at their fair value. However, if fair values cannot be obtained from the fair market transactions, it is accepted that the fair value cannot be measured reliably and financial assets are measured using the official prices announced by the CBRT. All gains and losses arising from these evaluations are recognised in the income statement. Interest earned while holding financial assets is reported as interest income and dividends received are included separately in dividend income.

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

VII. EXPLANATIONS ON FINANCIAL ASSETS : (Continued)

a. Financial assets at fair value through profit or loss: (Continued)

Derivative financial instruments are classified as trading financial assets unless they are not designated as hedge instruments.

The Branch has no financial assets designated as financial assets at fair value through profit or loss.

b. Loans and receivables:

Financial assets that are originated by the Branch by providing money, services or goods to borrowers are categorised as loans and receivables. Loans and receivables originated by the Branch are carried initially at cost and subsequently recognised at the amortised cost value calculated using the "effective yield method".

If the collectibility of any receivable is identified as limited or doubtful by the management through assessments and estimates; the Branch, as per the provisions "Communiqué Related to Principles and Procedures on Determining the Qualifications of Banks' Loans and Other Receivables and the Provision for These Loans and Other Receivables" as published in the Official Gazette dated 1 November 2006 with No. 26333, categorizes them under group III, IV and V loans and provides specific provisions. The Bank may allocate specific provisions above the minimum rates as provided for the tier of the relevant loans which are financially weak and/or insolvent loans.

Provision expenses are deducted from the net income for the period. Uncollectible receivables are written-off after all the legal procedures are finalised. If there is a subsequent collection from a receivable that was already provisioned in the previous years, the recovery amount is presented in other income.

c. Held-to-maturity financial assets:

Held-to-maturity financial assets are assets that are not classified under "loans and receivables" with fixed maturities and fixed or determinable payments where management has the intent and ability to hold the financial assets to maturity. Held-to-maturity financial assets are initially recognised at cost, and subsequently carried at amortised cost using the "effective yield method"; interest earned whilst holding held-to-maturity securities is reported as interest income. Interest income from held-to-maturity financial assets is reflected in the income statement.

There are no financial assets that were previously classified as held-to-maturity but which cannot be subject to this classification for two years due to the contradiction of classification principles.

The Branch has no financial assets that are classified as held-to-maturity as of 31 December 2015 and 31 December 2014.

d. Available-for-sale financial assets:

Financial assets available-for-sale consists of financial assets other than "Loan and receivables", "Held-to-maturity" and "Financial assets at fair value through profit or loss". Debt securities classified as available-for-sale financial assets are subsequently remeasured at fair value. Unrealised gains and losses arising from changes in the fair value of securities classified as available-for-sale are recognised in shareholders' equity as "Marketable securities value increase fund", unless there is a permanent decline in the fair values of such assets or they are disposed of. When these securities are disposed of or impaired, the related fair value differences accumulated in the shareholders' equity are transferred to the income statement.

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

VIII. EXPLANATIONS ON IMPAIRMENT OF FINANCIAL ASSETS:

Where the estimated recoverable amount of the financial asset, being the present value of the expected future cash flows discounted based on the "effective interest method", or the fair value if one exists is lower than its carrying value, then it is concluded that the asset under consideration is impaired. A provision is made for the diminution in value of the impaired financial asset and it is charged against the income for the year.

The principles regarding the accounting of provisions of loans and receivables are explained in detail in Note VII.b. of this section.

IX. EXPLANATIONS ON OFFSETTING FINANCIAL INSTRUMENTS:

Financial assets and liabilities are offset and the net amount is reported in the balance sheet when the Branch has a legally enforceable right to offset the recognised amounts and there is an intention to collect/pay related financial assets and liabilities on a net basis or to realise the asset and settle the liability simultaneously.

X. EXPLANATIONS ON SALES AND REPURCHASE AGREEMENTS AND SECURITIES LENDING TRANSACTIONS:

The Branch does not have any sales and repurchase agreements and securities lending transactions as of 31 December 2015 and 31 December 2014.

Securities subject to repurchase agreements ("repo") are classified as "Fair value difference through profit or loss", "Available-for-sale" and "Held-to-maturity" according to the investment purposes of the Branch and measured according to the portfolio to which they belong. Funds obtained from repurchase agreements are accounted under "Funds Provided under Repurchase Agreements" in liabilities and the difference between the sale and repurchase price is accrued over the life of repurchase agreements using the "effective interest method".

Funds given against securities purchased under agreements ("reverse repo") to resell are accounted under "Receivables from Reverse Repurchase Agreements" in the balance sheet. The difference between the purchase and determined resell price is accrued over the life of repurchase agreements using the "effective interest method".

XI. EXPLANATIONS ON REPURCHASE AND RESALE AGREEMENTS AND SECURITIES LENDING:

The Branch has no repurchase and resale agreements and securities lending as at the balance sheet date (31 December 2014: None).

Securities sold under repurchase agreements ("repo") are recorded on the balance sheet in accordance with the Uniform Chart of Accounts. Government bonds and treasury bills that are sold to customers under repurchase agreement are classified under "Securities subject to repurchase agreements" and they are either recognized at fair value or amortized cost with internal rate of return according to the holding intention within the Branch portfolio. Funds received under repurchase agreements are reflected as a separate item in the liabilities and respective interest is accrued for.

Reverse repo transactions are recognized under the "Receivables from Reverse Repo Transactions" account. Income accrual is calculated using the internal rate of return method for the difference between the purchase and resale prices determined by the reverse repo agreements for the period.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XII. EXPLANATIONS ON GOODWILL AND OTHER INTANGIBLE ASSETS:

The Branch has no goodwill as at 31 December 2015 and 31 December 2014.

Intangible assets consist of softwares. The intangible assets are amortized in their useful lifes, in 3 years, on a straight-line basis. At the balance sheet date TL 186 thousand of amortization expense (31 December 2014: TL 213 thousand).

XIII. EXPLANATIONS ON TANGIBLE FIXED ASSETS:

Property and equipment is measured at its cost when initially recognised and any directly attributable costs of setting the asset in working order for its intended use are included in the initial measurement. Subsequently, property and equipment is carried at cost less accumulated depreciation and impairment, if any.

Depreciation is calculated over of the cost of property and equipment using the straight-line method. The expected useful lives are stated below:

Buildings	50 years
Furniture, fixture and vehicles	5 years

The depreciation charge for items remaining in property and equipment for less than an accounting period at the balance sheet date is calculated in proportion to the period the item remained in property and equipment.

Where the carrying amount of an asset is greater than its estimated recoverable amount, it is written-down immediately to its recoverable amount and the impairment for the diminution in value is charged to the income statement.

Gains and losses on the disposal of property and equipment are determined by deducting the net book value of the property and equipment from its sales revenue.

Expenditures for the repair and renewal of property and equipment are recognised as expense. The capital expenditures made in order to increase the capacity of the tangible asset or to increase its future benefits are capitalised over the cost of the tangible asset. The capital expenditures include the cost components which are used either to increase the useful life or the capacity of the asset or the quality of the product or to decrease the costs.

There are no pledges, mortgages or purchase commitments on property and equipment as of 31 December 2015 and 31 December 2014.

XIV. EXPLANATIONS ON LEASING TRANSACTIONS:

The Branch has no leasing transactions as of 31 December 2015 and 31 December 2014.

XV. EXPLANATIONS ON PROVISIONS AND CONTINGENT COMMITMENTS:

Provisions and contingent liabilities are accounted in accordance with "Turkish Accounting Standard for Provisions, Contingent Liabilities and Contingent Assets" ("TAS 37").

Provisions are recognised when the Branch has a present legal or constructive obligation as a result of past events, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation, and a reliable estimate of the amount of the obligation can be made. The provision for contingent liabilities arising from past events should be recognised in the same period of occurrence in accordance with the matching principle. When the amount of the obligation cannot be estimated and there is no possibility of an outflow of resources from the Branch, it is considered that a "contingent" liability exists and it is disclosed in the related notes to the financial statements.

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XVI. EXPLANATIONS ON OBLIGATIONS RELATED TO EMPLOYEE RIGHTS:

a. Defined Benefit Plans:

Under the Turkish Labour Law, the Branch is obliged to pay a certain employment termination benefit to the employees who have been retired or whose employment is terminated other than the reasons specified in the Turkish Labour Law.

In accordance with "Turkish Accounting Standard for Employee Rights" ("TAS 19") the reserve for employment termination benefits is calculated by using Projection Method based on personnel service completion time and previous experience gained. The reserve for employment termination benefits is discounted by the rate of return of the goverment bonds at the balance sheet date.

Branch Management has evaluated the impact of the actuarial profit/loss for calculating the employment termination benefit on the current balance sheets and recognized the effect in the statement of income, since it's not material for the financial statements.

The Branch has no employees who are members of any foundation or likewise corporations.

b. Defined Contribution Plans:

In accordance with the law the Branch is obliged to pay a contribution fee to Social Security Institution ("SSI") on behalf of the employees. The Branch has no other payment obligations to employees or "SSI". These contribution fees are reflected to personnel expenses at the date of accrual.

c. Short-Term Benefits to Employees:

Vacation fees defined as "Short-Term Benefits to Employees" in accordance with "Turkish Accounting Standard for Employee Rights" ("TAS 19") are accrued in the periods that they were entitled to and they cannot be discounted.

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XVII. EXPLANATIONS ON TAXATION:

a. Current tax:

"Corporate Tax Law" ("New Tax Law") No.5520 was taken into effect after being published in the Official Gazette dated 21 June 2006 No.26205. Many clauses of the "New Tax Law" are effective from 1 January 2006. According to this Law, the corporate tax rate is 20% (2014: 20%). Corporate tax is calculated on the total income of the Bank after adjusting for certain disallowable expenses, exempt income (eg. gain on subsidiaries, investment incentives) and investments and other allowances (eg. research and development expenses). No further tax is payable unless the profit is distributed.

Dividends paid to non-resident corporations, which have a place of business in Turkey or are resident corporations, are not subject to withholding tax. Otherwise, dividends paid are subject to withholding tax at the rate of 15% after 23 July 2006. An increase in capital via issuing bonus shares is not considered as profit distribution and thus does not incur withholding tax.

Corporations are required to pay advance corporate tax quarterly at a rate of 20% on their corporate income. Advance tax is declared by the 14th and paid by the 17th day of the second month following each calendar quarter end. Advance tax paid by corporations is for the current period is credited against the annual corporation tax calculated on their annual corporate income in the following year. Despite the offset, if temporary prepaid tax remains, this balance can be refunded or used to offset any other financial liabilities to the government.

A 75% portion of the capital gains derived from the sale of equity investments and immovable properties held for at least two years is tax exempt, if such gains are added to paid-in capital or held in a special account under shareholders' equity for five years.

In Turkey, there is no procedure for a final and definitive agreement on tax assessments. Companies file their tax returns until the twenty fifth day of the following fourth month after the closing of the accounting year to which they relate.

Tax returns are open for five years from the beginning of the year following the date of filing during which period the tax authorities have the right to audit tax returns, and the related accounting records on which they are based, and may issue re-assessments based on their findings.Under the Turkish Corporate Tax Law, losses can be carried forward to offset against future taxable income for up to five years. Tax losses cannot be carried back to offset profits from previous periods.

b. Deferred tax:

The Branch calculates and accounts for deferred income taxes for all temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in these financial statements in accordance with "Turkish Accounting Standard for Income Taxes" ("TAS 12"). In the deferred tax calculation, the enacted tax rate, in accordance with the tax legislation, is used as of the balance sheet date.

Deferred tax liabilities are recognized for all resulting temporary differences whereas deferred tax assets resulting from temporary differences are recognized to the extent that it is probable that future taxable profit will be available against which the deferred tax assets can be utilized. The calculated deferred tax assets and deferred tax liabilities are presented on a net basis in these financial statements.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XVIII. EXPLANATIONS ON BORROWINGS:

Trading financial liabilities and derivative instruments are valued at the fair value and other financial liabilities are carried at amortised cost using the "effective interest method".

XIX. EXPLANATIONS ON ISSUANCE OF SHARE CERTIFICATES:

Direct transaction costs regarding the issuance of share certificates are recorded under shareholders' equity after eliminating the tax effects. The Branch has no share certificates issued as of 31 December 2015 and 31 December 2014.

XX . EXPLANATIONS ON ACCEPTANCES AND AVAILED DRAFTS:

Avalized drafts and acceptances are the contingent liabilities of the Branch and are included in the off-balance sheet commitments.

XXI. EXPLANATIONS ON GOVERNMENT GRANTS:

The Branch has no government grants at as of 31 December 2015 and 31 December 2014.

XXII. EXPLANATIONS ON PROFIT RESERVES AND PROFIT APPROPRIATION:

Retained earnings are available for profit distribution, subject to the written permission of BRSA.

XXIII. EXPLANATIONS ON EARNINGS PER SHARE:

Earnings per share disclosed in the income statement is calculated by dividing net profit for the year to the weighted average number of shares outstanding during the period concerned.

	31 December 2015	31 December 2014
Distributable Net Profit to Ordinary Shares	11.431	6.970
Weighted Average Number of Issued Ordinary Shares (Thousand)	156.914	156.914
Earnings Per Share (Disclosed in full TL for nominal shares)	**0,07285**	**0,04442**

In Turkey, companies can increase their share capital by making a pro-rata distribution of shares "bonus shares" to existing shareholders from retained earnings. For the purpose of earnings per share computations, the weighted average number of shares outstanding during the year has been adjusted in respect of bonus shares issued without a corresponding change in resources by giving them a retroactive effect for the year in which they were issued and for each earlier period.

XXIV. EXPLANATIONS ON RELATED PARTIES:

For the purpose of these financial statements, shareholders, key management personnel and board members together with their families and companies controlled by/affiliated with them, and associated companies are considered and referred to as related parties in accordance with "Turkish Accounting Standard for Related Parties" ("TAS 24"). The transactions with related parties are disclosed in detail in Note VII of Section Five.

XXV. EXPLANATIONS ON CASH AND CASH EQUIVALENTS:

For the purposes of the cash flow statement, cash includes cash, effectives and demand deposits including balances with the Central Bank; and cash equivalents include interbank money market placements and time deposits at banks with original maturity periods of less than three months.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XXVI. EXPLANATIONS ON SEGMENT REPORTING:

Informations related with areas of operations of the bank prepared in line with the organizational and internal reporting structure of the branch and in accordance with "Turkish Financial Reporting Standards related with Segment Reporting" ("TFRS 8") are disclosed.

The Branch manages its banking operations through three strategic business units: Retail banking, Corporate and Commercial banking and Treasury operations.

Retail banking provides deposits and loans to individual and small business customers. Other products and services include foreign currency exchange, cheques and bills and money orders.

Corporate and Commercial banking provided corporate and commercial customers financial solutions and banking services. Products and services include FC and TL loans, foreign trade finance, domestic and international non-cash credit line facilities such as letters of credit and guarantees, foreign exchange and deposits.

Treasury operations are managed by the Treasury Department. The Treasury Department has transactions such as purchases-sales of domestic marketable securities and TL and FC placement transactions.

Informations about the operating segments as of 31 December 2015 are presented on the table below:

	Retail Banking	Corporate and Commercial Banking	Treasury	Other (*)	Total operations of the Branch
31 December 2015					
Interest Income	16	3.239	16.699	-	19.954
Net Fees and Commissions Income	-	817	-	-	817
Other Operating Income and Trading Income/(Loss) (Net)	-	3.227	-	-	3.227
Operating Revenue	**16**	**7.283**	**16.699**	-	**23.998**
Interest Expense	(43)	(336)	(37)	-	(416)
Other Operating Expense and Provision for Loan Losses and Other Receivables	(1.168)	(6.425)	(1.752)	-	(9.345)
Operating Expense	**(1.211)**	**(6.761)**	**(1.789)**	-	**(9.761)**
Operating Profit	**(1.195)**	**522**	**14.910**	-	**14.237**
	-	-	-	-	-
Profit Before Tax	-	-	-	**14.237**	**14.237**
Corporate Tax	-	-	-	(2.806)	(2.806)
Minority Rights	-	-	-	-	-
Net Profit	-	-	-	**11.431**	**11.431**
Segment Assets (*)	5.874	4.582	319.663	10.369	340.488
Investment in Associates and Subsidiaries	-	-	-	-	-
Total Assets	**5.874**	**4.582**	**319.663**	**10.369**	**340.488**
Segment Liabilities(*)	5.359	26.626	94.073	6.429	132.487
Shareholders' Equity	-	-	-	208.001	208.001
Total Liabilities	**5.359**	**26.626**	**94.073**	**214.430**	**340.488**

(*) "Segment Assets" in "Other" column amounting to TL 10.369 include tangible assets amounting to TL ; 8.480, intangible assets amounting to TL 73, tax assets amounting to TL 724 and other assets amounting to TL 1.092; "Segment Liabilities" in the "Other" column amounting to TL 6.429 include other liabilities amounting to TL 1.296, provisions amounting to TL 4.366 and tax liability amounting to TL 767.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XXVI. EXPLANATIONS ON SEGMENT REPORTING (Continued)

	Retail Banking	Corporate and Commercial Banking	Treasury	Other (*)	Total operations of the Branch
31 December 2014					
Interest Income	22	1.849	13.509	-	15.380
Net Fees and Commissions Income	-	1.543	-	-	1.543
Other Operating Income and Trading Income/(Loss) (Net)	-	1.422	-	-	1.422
Operating Revenue	**22**	**4.814**	**13.509**	-	**18.345**
Interest Expense	(198)	(53)	-	-	(251)
Other Operating Expense and Provision for Loan Losses and Other Receivables	(1.170)	(6.238)	(1.949)	-	(9.357)
Operating Expense	**(1.368)**	**(6.291)**	**(1.949)**	-	**(9.608)**
Operating Profit	**(1.346)**	**(1.477)**	**11.560**	-	**8.737**
Profit Before Tax	-	-	-	**8.737**	**8.737**
Corporate Tax	-	-	-	(1.767)	(1.767)
Minority Rights	-	-	-	-	-
Net Profit	-	-	-	**6.970**	**6.970**
Segment Assets (*)	6.699	4.176	304.402	11.042	326.319
Investment in Associates and Subsidiaries	-	-	-	-	-
Total Assets	**6.699**	**4.176**	**304.402**	**11.042**	**326.319**
Segment Liabilities(*)	4.040	39.736	79.187	5.421	128.384
Shareholders' Equity	-	-	-	197.935	197.935
Total Liabilities	**4.040**	**39.736**	**79.187**	**203.356**	**326.319**

(*) "Segment Assets" in "Other" column amounting to TL 11.042 include tangible assets amounting to TL 8.257, intangible assets amounting to TL 169, tax assets amounting to TL 595 and other assets amounting to TL 2.021; "Segment Liabilities" in the "Other" column amounting to TL 5.421 include other liabilities amounting to TL 1.096, provisions amounting to TL 3.599 and tax liability amounting to TL 726.

XXVII. RECLASSIFICATIONS

There are no reclassifications to the 31 December 2014 financial statements in order to be in conformity with the financial statements as of 31 December 2015.

XXVIII. OTHER INFORMATION

None.

SECTION FOUR

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH

I. EXPLANATIONS ON CAPITAL ADEQUACY RATIO:

The capital adequacy ratio of the Branch is 95,61% (31 December 2014: 80,04%)

Capital adequacy ratio is calculated within the scope of the "Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks (the "Regulation")", "Communiqué on Credit Risk Mitigation Techniques" and "Communiqué on Calculation of Risk Weighted Amounts for Securitizations" published in the Official Gazette No: 28337 dated 28 June 2012 and the "Communiqué on Equities of Banks" published in the Official Gazette No: 28756 dated 5 September 2013.

In the calculation of capital adequacy ratio, the data prepared from accounting records in compliance with the current legislation are used. Such accounting data is included in the calculation of credit and market risks subsequent to their designation as "trading book" and "banking book" according to the Regulation.

The items classified as trading book and the items deducted from the equity are not included in the calculation of credit risk. In the calculation of risk weighted assets, the assets subject to amortisation or impairment, are taken into account on a net basis after being reduced by the related amortisations and provisions.

In the calculation of the value at credit risk for the non-cash loans and commitments and the receivables from counterparties in such transactions are weighted after netting with specific provisions that are classified under liabilities and calculated based on the "Regulation on Identification of and Provision against Non-Performing Loans and Other Receivables". The net amounts are then multiplied by the rates stated in the Article 5 of the Regulation, reduced as per the"Regulation on Credit Risk Mitigation Techniques" and then included in the relevant exposure category defined in the article 6 of the Regulation and weighted as per Appendix-1 of the Regulation.

There is no the derivative financial instruments and the credit derivaties between the banking accounts.

As per the article 5 of the Regulation, the "counterparty credit risk" is calculated for repurchase transactions, securities and commodities borrowing agreements.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

I. EXPLANATIONS ON CAPITAL ADEQUACY RATIO (Continued)

Information related to capital adequacy ratio:

31 December 2015	Risk Weights								
	0%	*10%*	*20%*	*50%*	*75%*	*100%*	*150%*	*200%*	*1250 %*
Value at Credit Risk									
Exposure Categories									
Conditional and unconditional receivables from central governments or central banks	156.447	-	-	-	-	11.114	-	-	-
Conditional and unconditional receivables from regional or local governments	-	-	-	-	-	-	-	-	-
Conditional and unconditional receivables from administrative units and non-commercial enterprises	-	-	-	-	-	-	-	-	-
Conditional and unconditional receivables from multilateral development banks	-	-	-	-	-	-	-	-	-
Conditional and unconditional receivables from international organizations	-	-	-	-	-	-	-	-	-
Conditional and unconditional receivables from banks and brokerage houses	-	-	5.512	-	-	116.130	-	-	-
Conditional and unconditional receivables from corporates	442	-	-	-	-	5.751	-	-	-
Conditional and unconditional retail receivables	352	-	-	-	-	1.342	230	39	-
Conditional and unconditional receivables secured by mortgages	-	-	-	-	-	-	-	-	-
Past due receivables	-	-	-	-	-	4.690	-	-	-
Receivables defined in high risk category by BRSA	-	-	-	-	-	-	-	-	-
Securities collateralized by mortgages	-	-	-	-	-	-	-	-	-
Securitization positions	-	-	-	-	-	-	-	-	-
Short-term receivables from banks, brokerage houses and corporates	-	-	-	-	-	-	-	-	-
Investments similar to collective investment funds	-	-	-	-	-	-	-	-	-
Other receivables	32.650	-	-	-	-	10.296	-	-	-

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

I. EXPLANATIONS ON CAPITAL ADEQUACY RATIO (Continued)

Information related to capital adequacy ratio (Continued):

31 December 2014	Risk Weights								
	0%	*10%*	*20%*	*50%*	*75%*	*100%*	*150%*	*200%*	*1250 %*
Value at Credit Risk									
Exposure Categories									
Conditional and unconditional receivables from central governments or central banks	150.241	-	-	-	-	12.786	-	-	-
Conditional and unconditional receivables from regional or local governments	-	-	-	-	-	-	-	-	-
Conditional and unconditional receivables from administrative units and non-commercial enterprises	-	-	-	-	-	-	-	-	-
Conditional and unconditional receivables from multilateral development banks	-	-	-	-	-	-	-	-	-
Conditional and unconditional receivables from international organizations	-	-	-	-	-	-	-	-	-
Conditional and unconditional receivables from banks and brokerage houses	-	-	10.054	1.067	-	100.594	-	-	-
Conditional and unconditional receivables from corporates	933	-	-	-	-	9.015	-	-	-
Conditional and unconditional retail receivables	1.530	-	-	-	-	265	112	43	-
Conditional and unconditional receivables secured by mortgages	-	-	-	-	-	-	-	-	-
Past due receivables	-	-	-	-	-	4.889	-	-	-
Receivables defined in high risk category by BRSA	-	-	-	-	-	-	-	-	-
Securities collateralized by mortgages	-	-	-	-	-	-	-	-	-
Securitization positions	-	-	-	-	-	-	-	-	-
Short-term receivables from banks, brokerage houses and corporates	-	-	-	-	-	-	-	-	-
Investments similar to collective investment funds	-	-	-	-	-	-	-	-	-
Other receivables	32.089	-	-	-	-	9.835	-	-	-

Summary of the capital adequacy standard ratio:

	31 December 2015 (*)	31 December 2014
Capital Requirement for Credit Risk (Amount Subject to Credit Risk *0.08) (CRCR)	12.063	11.215
Capital Requirement for Market Risk (MRCR)	1.742	1.342
Capital Requirement for Operational Risk (ORCR)	3.745	7.386
Shareholders' Equity	209.814	199.518
Shareholders' Equity / ((CRCR + MRCR + ORCR) *12.5) *100	95,61	80,04
Total Tier Capital I / ((CRCR + MRCR + ORCR) *12.5) *100	94,75	79,33
Common Equity Tier Capital I / ((CRCR + MRCR + ORCR) *12.5) *100	94,78	79,39

(*) Starting from 1 January 2014, the Branch's total capital and capital adequacy ratio are calculated within the scope of the "Regulation on Equities of Banks" published in the official gazette no. 28756 dated 5 September 2013. Prior period's calculations have been realized according to the repealed regulations.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

I. EXPLANATIONS ON CAPITAL ADEQUACY RATIO (Continued)

Information about the shareholders' equity items:

	Current Period
Common Equity Tier I Capital	**207.972**
Paid-in Capital to be Entitled for Compensation after All Creditors	156.914
Share Premium	-
Share Cancellation Profits	-
Reserves	1.352
Other Comprehensive Income according to TAS	-
Profit	50.825
Current Period Profit	11.431
Prior Period Profit	39.394
General Reserves for Possible Losses	-
Bonus Shares from Associates, Subsidiaries and Joint-Ventures not Accounted in Current Period's Profit	-
Common Equity Tier I Capital Before Deductions	-
Deductions From Common Equity Tier I Capital	-
Current and Prior Periods' Losses not Covered by Reserves, and Losses Accounted under Equity according to TAS (-)	(1.090)
Leasehold Improvements on Operational Leases (-)	-
Goodwill and Other Intangible Assets and Related Deferred Taxes (-)	(29)
Net Deferred Tax Asset/Liability (-)	-
Shares Obtained against Article 56, Paragraph 4 of the Banking Law (-)	-
Direct and Indirect Investments of the Bank on its own Tier I Capital (-)	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-
Mortgage Servicing Rights Exceeding the 10% Threshold of Tier I Capital (-)	-
Net Deferred Tax Assets arising from Temporary Differences Exceeding the10% Threshold of Tier I Capital (-)	-
Amount Exceeding the 15% Threshold of Tier I Capital as per the Article 2, Clause 2 of the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks (-)	-
The Portion of Net Long Position of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital not deducted from Tier I Capital (-)	-
Mortgage Servicing Rights not deducted (-)	-
Excess Amount arising from Deferred Tax Assets from Temporary Differences (-)	-
Other items to be Defined by the BRSA (-)	-
Deductions from Tier I Capital in cases where there are no adequate Additional Tier I or Tier II Capitals (-)	-
Total Deductions from Common Equity Tier I Capital	-
Total Common Equity Tier I Capital	**207.972**
ADDITIONAL TIER I CAPITAL	-
Preferred Stock not Included in Common Equity Tier I Capital and the Related Share Premiums	-
Debt Instruments and the Related Issuance Premiums Defined by the BRSA (Issued or Obtained after 1.1.2014)	-
Debt Instruments and the Related Issuance Premiums Defined by the BRSA (Issued or Obtained before 1.1.2014)	-
Additional Tier I Capital before Deductions	-
Deductions from Additional Tier I Capital	
Direct and Indirect Investments of the Bank on its own Additional Tier I Capital (-)	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-
The Total of Net Long Position of the Direct or Indirect Investments in Additional Tier I Capital of Unconsolidated Banks and Financial Institutions where the Bank Owns more than 10% of the Issued Share Capital (-)	-
Other items to be Defined by the BRSA (-)	-
Deductions from Additional Tier I Capital in cases where there are no adequate Tier II Capital (-)	-
Total Deductions from Additional Tier I Capital	-
Total Additional Tier I Capital	-

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

I. EXPLANATIONS ON CAPITAL ADEQUACY RATIO (Continued)

Information about the shareholders' equity items (Continued) :

Deductions from Tier I Capital	**(44)**
Goodwill and Other Intangible Assets and Related Deferred Taxes not deducted from Tier I Capital as per the Temporary Article 2, Clause 1 of the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks (-)	**(44)**
Net Deferred Tax Asset/Liability not deducted from Tier I Capital as per the Temporary Article 2, Clause 1 of the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks (-)	-
Total Tier I Capital	**207.928**
General Provisions	1.886
Tier II Capital before Deductions	**1.886**
Deductions from Tier II Capital	
Direct and Indirect Investments of the Bank on its own Tier II Capital (-)	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-
The Total of Net Long Position of the Direct or Indirect Investments in Additional Tier I Capital and Tier II Capital of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital Exceeding the 10% Threshold of Tier I Capital (-)	-
Other items to be Defined by the BRSA (-)	-
Total Deductions from Tier II Capital	-
Total Tier II Capital	**1.886**
CAPITAL BEFORE DEDUCTIONS	**209.814**
Loans Granted against the Articles 50 and 51 of the Banking Law (-)	-
Net Book Values of Movables and Immovables Exceeding the Limit Defined in the Article 57, Clause 1 of the Banking Law and the Assets Acquired against Overdue Receivables and Held for Sale but Retained more than Five Years (-)	-
Loans to Banks, Financial Institutions (domestic/foreign) or Qualified Shareholders in the form of Subordinated Debts or Debt Instruments Purchased from Such Parties and Qualified as Subordinated Debts (-)	-
Deductions as per the Article 20, Clause 2 of the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks (-)	-
Other items to be Defined by the BRSA (-)	-
The Portion of Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital not deducted from Tier I Capital, Additional Tier I Capital or Tier II Capital as per the Temporary Article 2, Clause 1 of the Regulation (-)	-
The Portion of Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns more than 10% of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital not deducted from Additional Tier I Capital or Tier II Capital as per the Temporary Article 2, Clause 1 of the Regulation (-)	-
The Portion of Net Long Position of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital, of the Net Deferred Tax Assets arising from Temporary Differences and of the Mortgage Servicing Rights not deducted from Tier I Capital as per the Temporary Article 2, Clause 2, Paragraph (1) and (2) and Temporary Article 2, Clause 1 of the Regulation (-)	-
TOTAL CAPITAL	**209.814**
Amounts lower than Excesses as per Deduction Rules	-
Remaining Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital	-
Remaining Total of Net Long Positions of the Investments in Tier I Capital of Unconsolidated Banks and Financial Institutions where the Bank Owns more than 10% or less of the Issued Share Capital	-
Remaining Mortgage Servicing Rights	-
Net Deferred Tax Assets arising from Temporary Differences	-

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

I. EXPLANATIONS ON CAPITAL ADEQUACY RATIO (Continued)

Information about the shareholders' equity items (Continued) :

	Prior Period
Common Equity Tier I Capital	**197.901**
Paid-in Capital to be Entitled for Compensation after All Creditors	156.914
Share Premium	-
Share Cancellation Profits	-
Reserves	1.307
Other Comprehensive Income according to TAS	275
Profit	39.439
Current Period Profit	6.970
Prior Period Profit	32.469
General Reserves for Possible Losses	-
Bonus Shares from Associates, Subsidiaries and Joint-Ventures not Accounted in Current Period's Profit	-
Common Equity Tier I Capital Before Deductions	-
Deductions From Common Equity Tier I Capital	-
Current and Prior Periods' Losses not Covered by Reserves, and Losses Accounted under Equity according to TAS (-)	-
Leasehold Improvements on Operational Leases (-)	-
Goodwill and Other Intangible Assets and Related Deferred Taxes (-)	(34)
Net Deferred Tax Asset/Liability (-)	-
Shares Obtained against Article 56, Paragraph 4 of the Banking Law (-)	-
Direct and Indirect Investments of the Bank on its own Tier I Capital (-)	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-
Mortgage Servicing Rights Exceeding the 10% Threshold of Tier I Capital (-)	-
Net Deferred Tax Assets arising from Temporary Differences Exceeding the10% Threshold of Tier I Capital (-)	-
Amount Exceeding the 15% Threshold of Tier I Capital as per the Article 2, Clause 2 of the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks (-)	-
The Portion of Net Long Position of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital not deducted from Tier I Capital (-)	-
Mortgage Servicing Rights not deducted (-)	-
Excess Amount arising from Deferred Tax Assets from Temporary Differences (-)	-
Other items to be Defined by the BRSA (-)	-
Deductions from Tier I Capital in cases where there are no adequate Additional Tier I or Tier II Capitals (-)	-
Total Deductions from Common Equity Tier I Capital	-
Total Common Equity Tier I Capital	**197.901**
ADDITIONAL TIER I CAPITAL	-
Preferred Stock not Included in Common Equity Tier I Capital and the Related Share Premiums	-
Debt Instruments and the Related Issuance Premiums Defined by the BRSA (Issued or Obtained after 1.1.2014)	-
Debt Instruments and the Related Issuance Premiums Defined by the BRSA (Issued or Obtained before 1.1.2014)	-
Additional Tier I Capital before Deductions	-
Deductions from Additional Tier I Capital	
Direct and Indirect Investments of the Bank on its own Additional Tier I Capital (-)	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-
The Total of Net Long Position of the Direct or Indirect Investments in Additional Tier I Capital of Unconsolidated Banks and Financial Institutions where the Bank Owns more than 10% of the Issued Share Capital (-)	-
Other items to be Defined by the BRSA (-)	-
Deductions from Additional Tier I Capital in cases where there are no adequate Tier II Capital (-)	-
Total Deductions from Additional Tier I Capital	-
Total Additional Tier I Capital	-

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

I. EXPLANATIONS ON CAPITAL ADEQUACY RATIO (Continued)

Information about the shareholders' equity items (Continued) :

Deductions from Tier I Capital	**(135)**
Goodwill and Other Intangible Assets and Related Deferred Taxes not deducted from Tier I Capital as per the Temporary Article 2, Clause 1 of the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks (-)	**(135)**
Net Deferred Tax Asset/Liability not deducted from Tier I Capital as per the Temporary Article 2, Clause 1 of the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks (-)	-
Total Tier I Capital	**197.766**
General Provisions	1.752
Tier II Capital before Deductions	**1.752**
Deductions from Tier II Capital	
Direct and Indirect Investments of the Bank on its own Tier II Capital (-)	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-
The Total of Net Long Position of the Direct or Indirect Investments in Additional Tier I Capital and Tier II Capital of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital Exceeding the 10% Threshold of Tier I Capital (-)	-
Other items to be Defined by the BRSA (-)	-
Total Deductions from Tier II Capital	-
Total Tier II Capital	**1.752**
CAPITAL BEFORE DEDUCTIONS	**199.518**
Loans Granted against the Articles 50 and 51 of the Banking Law (-)	-
Net Book Values of Movables and Immovables Exceeding the Limit Defined in the Article 57, Clause 1 of the Banking Law and the Assets Acquired against Overdue Receivables and Held for Sale but Retained more than Five Years (-)	-
Loans to Banks, Financial Institutions (domestic/foreign) or Qualified Shareholders in the form of Subordinated Debts or Debt Instruments Purchased from Such Parties and Qualified as Subordinated Debts (-)	-
Deductions as per the Article 20, Clause 2 of the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks (-)	-
Other items to be Defined by the BRSA (-)	-
The Portion of Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital not deducted from Tier I Capital, Additional Tier I Capital or Tier II Capital as per the Temporary Article 2, Clause 1 of the Regulation (-)	-
The Portion of Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns more than 10% of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital not deducted from Additional Tier I Capital or Tier II Capital as per the Temporary Article 2, Clause 1 of the Regulation (-)	-
The Portion of Net Long Position of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital, of the Net Deferred Tax Assets arising from Temporary Differences and of the Mortgage Servicing Rights not deducted from Tier I Capital as per the Temporary Article 2, Clause 2, Paragraph (1) and (2) and Temporary Article 2, Clause 1 of the Regulation (-)	-
TOTAL CAPITAL	**199.518**
Amounts lower than Excesses as per Deduction Rules	-
Remaining Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital	-
Remaining Total of Net Long Positions of the Investments in Tier I Capital of Unconsolidated Banks and Financial Institutions where the Bank Owns more than 10% or less of the Issued Share Capital	-
Remaining Mortgage Servicing Rights	-
Net Deferred Tax Assets arising from Temporary Differences	-

I. EXPLANATIONS ON CAPITAL ADEQUACY RATIO (Continued)

Branch, according to the approved "Risk Management Policies and Implementation Procedures" on 27 November 2012, has prepared the document of "Internal Capital Assessment Process". It has been aimed to determine the needed capital size in the period of next one year by evaluating and calculating effectively all risks that Branch will be met due to this document. Branch prepared taking into account the latest information 2014 "2015 Internal Capital Requirement Analysis" March 30, 2015, No. 13 was accepted by the Council of Directors.

It has been examined activity of the Department of Analysis and services it offers, activity of the Department of Analysis and services it offers, that may be incurred due to their major and minor risk factors, the current legal capital requirements, the developments in 2014 and in 2015, 2016 and estimates and expectations regarding 2017 operating period by the BRSA the scenarios in "2015 Internal Capital Requirement Analysis". Besides of these matters, the main and sub-types of risk that has been considered for Branch, and the quantification of these risks are incleded in the calculation of internal capital requirements for these risks has been placed. It has been considered credit risk (in general, country), market risk (interest rate) and operational risk in addition to banking accounts that cannot quantifiy with re-pracing risk with reputational risk.

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

II. EXPLANATIONS ON CREDIT RISK:

a. Credit risk is monitored by reference to credit risk ratings and managed by limiting the aggregate risk to banks with high credibility rate and other financial institutions. The Branch requires additional guarantees from the real persons and entities that the Branch extends loans to who were assessed as high risk after performing detailed risk ratings on individual loans. Due to the imposed sanctions, the credit transactions of the Branch decreased in 2014 and 2015.

The credit worthiness of borrowers is monitored regularly. Audited information is obtained for the new rendered loans if possible. Unaudited information is examined in detail by loan department.

b. At 31 December 2014, the Branch has no forward and option contracts or any other similar agreements.

c. At 31 December 2014, the Branch has been faced with an insignificant amount of credit risk exposure.

d. The Branch subjects the non-cash loans which are reimbursed, to the same risk weight as the loans which are passed due but not collected.

Rescheduled or restructured loans are monitored by the Branch according to the risk management and monitoring principles of the Branch. The financial conditions and commercial operations of the related customers are continuously analysed where interest and capital payments according to new payment plans are closely monitored.

e. The Branch's transactions in foreign countries with regard to banking operations and credit facilities are mainly held with corporations based in Islamic Republic of Iran, where the head office of the Branch is also based.

f. The Branch is not active in international banking market.

g.
1. The proportion of the largest 100 cash loan balances in the total cash loan portfolio of the Branch is 100% (31 December 2014: 100%).
2. The proportion of the largest 100 non-cash loan balances in the total non-cash loan portfolio of the Branch is 100% (31 December 2014: 100%).
3. The proportion of the cash and non-cash loan balances in the total assets and non-cash loans is 2,97% (31 December 2014: 4,14%).

h. The general loan loss provision amount provided for credit risk is TL 2.287 thousand (31 December 2014: TL 1.992 thousand).

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

II. EXPLANATIONS ON CREDIT RISK (Continued)

The Branch has not any internal rating model in order to evaluate during the loan application and assessment after granting loan.

Exposure Categories	Current Period Risk Amount(*)	Current Period Average Risk Amount(**)	Prior Period Risk Amount(*)	Prior Period Average Risk Amount(**)
Conditional and unconditional receivables from central governments or central banks	167.561	157.894	163.027	157.516
Conditional and unconditional receivables from regional or local governments	-	-	-	-
Conditional and unconditional receivables from administrative units and non-commercial enterprises	-	-	-	-
Conditional and unconditional receivables from multilateral development banks	-	-	-	-
Conditional and unconditional receivables from international organizations	-	-	-	-
Conditional and unconditional receivables from banks and brokerage houses	121.642	90.799	111.715	89.971
Conditional and unconditional receivables from corporates	6.193	20.244	9.948	20.557
Conditional and unconditional retail receivables	1.963	866	1.950	1.963
Conditional and unconditional receivables secured by mortgages	-	-	-	-
Past due receivables	4.690	5.563	4.889	5.580
Receivables defined in high risk category by BRSA	-	12	-	12
Securities collateralized by mortgages	-	-	-	-
Securitization positions	-	-	-	-
Short-term receivables from banks, brokerage houses and corporates	-	-	-	-
Investments similar to collective investment funds	-	-	-	-
Other receivables	42.946	40.798	41.924	40.713

(*) Includes total risk amounts before the effect of credit risk mitigation but after credit conversions.
(**) Average risk amounts are the arithmetical average of the amounts in monthly reports prepared according to "the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks".

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

II. EXPLANATIONS ON CREDIT RISK (Continued)

i. Profile of significant exposures in major regions:

	Exposure Categories (*)																
31 December 2015	1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16	Toplam
Current Period																	
1. Domestic	167.550	-	-	-	-	60.124	6.193	1.742	-	4.690	-	-	-	-	-	42.946	283.245
2. European Union(EU)	-	-	-	-	-	327	-	-	-	-	-	-	-	-	-	-	327
3. OECD Countries(**)	-	-	-	-	-	24	-	-	-	-	-	-	-	-	-	-	24
4. Off-Shore Banking Regions	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
5. USA, Canada	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
6. Other Countries	11	-	-	-	-	61.167	-	221	-	-	-	-	-	-	-	-	61.399
7. Associates, Subsidiaries and Joint –Ventures	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
8. Unallocated Assets/Liabilities***	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total	167.561	-	-	-	-	121.642	6.193	1.963	-	4.690	-	-	-	-	-	42.946	344.995

	Exposure Categories (*)																
31 December 2014	1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16	Toplam
Prior Period																	
1. Domestic	163.005	-	-	-	-	57.895	9.946	1.950	-	4.889	-	-	-	-	-	41.924	279.609
2. European Union(EU)	-	-	-	-	-	292	-	-	-	-	-	-	-	-	-	-	292
3. OECD Countries(**)	-	-	-	-	-	21	-	-	-	-	-	-	-	-	-	-	21
4. Off-Shore Banking Regions	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
5. USA, Canada	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
6. Other Countries	22	-	-	-	-	53.507	2	-	-	-	-	-	-	-	-	-	53.531
7. Associates, Subsidiaries and Joint –Ventures	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
8. Unallocated Assets/Liabilities***	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total	163.027	-	-	-	-	111.715	9.948	1.950	-	4.889	-	-	-	-	-	41.924	333.453

(*) Includes risk amounts before the effect of credit risk mitigation but after the credit conversions.
(**) Includes OECD countries other than EU countries, USA and Canada
(***) Includes asset and liability items that can not be allocated on a consistent basis.

1- Conditional and unconditional receivables from central governments or central banks
2- Conditional and unconditional receivables from regional or local governments
3- Conditional and unconditional receivables from administrative units and non-commercial enterprises
4- Conditional and unconditional receivables from multilateral development banks
5- Conditional and unconditional receivables from international organizations
6- Conditional and unconditional receivables from banks and brokerage houses
7- Conditional and unconditional receivables from corporates
8- Conditional and unconditional retail receivables
9- Conditional and unconditional receivables secured by mortgages
10- Past due receivables
11- Receivables defined in high risk category by BRSA
12- Securities collateralized by mortgages
13- Securitization positions
14- Short-term receivables from banks, brokerage houses and corporates
15- Investments similar to collective investment funds
16- Other receivables

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

II. EXPLANATIONS ON CREDIT RISK (Continued)

j. Risk profile by sectors or counterparties:

	Exposure Categories(*)																		
Current Period	1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16	TP	YP	Toplam
Agriculture	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	245	245	-	245
Farming and Stockbreeding	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	245	245	-	245
Forestry	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Fishery	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Manufacturing	-	-	-	-	-	-	2.716	-	-	-	-	-	-	-	-	200	1.493	1.423	2.916
Mining and Quarrying	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Production	-	-	-	-	-	-	2.716	-	-	-	-	-	-	-	-	200	1.493	1.423	2.916
Electricity, Gas and Water	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Construction	-	-	-	-	-	-	1.941	-	-	4.690	-	-	-	-	-	-	6.418	213	6.631
Services	-	-	-	-	-	60.122	1.536	-	-	-	-	-	-	-	-	798	8.162	54.294	62.456
Wholesale and Retail Trade	-	-	-	-	-	-	1.500	-	-	-	-	-	-	-	-	798	2.298	-	2.298
Accommodation and Dining	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Transportation and Telecom.	-	-	-	-	-	-	36	-	-	-	-	-	-	-	-	-	12	24	36
Financial Institutions	-	-	-	-	-	60.122	-	-	-	-	-	-	-	-	-	-	5.852	54.270	60.122
Real Estate and Rental Services	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Professional Services	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Educational Services	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Health and Social Services	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Others	167.561	-	-	-	-	61.520	-	1.963	-	-	-	-	-	-	-	41.703	202.789	69.958	272.747
Total	167.561	-	-	-	-	121.642	6.193	1.963	-	4.690	-	-	-	-	-	42.946	219.107	125.888	344.995

* Includes risk amounts before the effect of credit risk mitigation but after the credit conversions.

1- Conditional and unconditional receivables from central governments or central banks
2- Conditional and unconditional receivables from regional or local governments
3- Conditional and unconditional receivables from administrative units and non-commercial enterprises
4- Conditional and unconditional receivables from multilateral development banks
5- Conditional and unconditional receivables from international organizations
6- Conditional and unconditional receivables from banks and brokerage houses
7- Conditional and unconditional receivables from corporates
8- Conditional and unconditional retail receivables
9- Conditional and unconditional receivables secured by mortgages
10- Past due receivables
11- Receivables defined in high risk category by BRSA
12- Securities collateralized by mortgages
13- Securitization positions
14- Short-term receivables from banks, brokerage houses and corporates
15- Investments similar to collective investment funds
16- Other receivables

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

II. EXPLANATIONS ON CREDIT RISK (Continued)

j. Risk profile by sectors or counterparties (Continued) :

	Exposure Categories(*)																		
Prior Period	**1**	**2**	**3**	**4**	**5**	**6**	**7**	**8**	**9**	**10**	**11**	**12**	**13**	**14**	**15**	**16**	**TP**	**YP**	**Toplam**
Agriculture	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Farming and Stockbreeding	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Forestry	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Fishery	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Manufacturing	-	-	-	-	-	-	1.714	-	-	-	-	-	-	-	-	-	1.714	-	1.714
Mining and Quarrying	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Production	-	-	-	-	-	-	1.714	-	-	-	-	-	-	-	-	-	1.714	-	1.714
Electricity, Gas and Water	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Construction	-	-	-	-	-	-	4.594	-	-	4.889	-	-	-	-	-	-	9.142	341	9.483
Services	-	-	-	-	-	45.296	3.000	668	-	-	-	-	-	-	-	-	3.184	45.780	48.964
Wholesale and Retail Trade	-	-	-	-	-	-	3.000	668	-	-	-	-	-	-	-	-	3.000	668	6.668
Accommodation and Dining	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Transportation and Telecom.	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Financial Institutions	-	-	-	-	-	45.296	-	-	-	-	-	-	-	-	-	-	184	45.112	45.296
Real Estate and Rental Services	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Professional Services	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Educational Services	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Health and Social Services	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Others	163.027	-	-	-	-	66.419	640	1.282	-	-	-	-	-	-	-	41.924	196.137	77.155	273.292
Total	163.027	-	-	-	-	111.715	9.948	1.950	-	4.889	-	-	-	-	-	41.924	210.177	123.276	333.453

* Includes risk amounts before the effect of credit risk mitigation but after the credit conversions.

1- Conditional and unconditional receivables from central governments or central banks
2- Conditional and unconditional receivables from regional or local governments
3- Conditional and unconditional receivables from administrative units and non-commercial enterprises
4- Conditional and unconditional receivables from multilateral development banks
5- Conditional and unconditional receivables from international organizations
6- Conditional and unconditional receivables from banks and brokerage houses
7- Conditional and unconditional receivables from corporates
8- Conditional and unconditional retail receivables
9- Conditional and unconditional receivables secured by mortgages
10- Past due receivables
11- Receivables defined in high risk category by BRSA
12- Securities collateralized by mortgages
13- Securitization positions
14- Short-term receivables from banks, brokerage houses and corporates
15- Investments similar to collective investment funds
16- Other receivables

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

II. EXPLANATIONS ON CREDIT RISK (Continued)

k. Analysis of maturity-bearing exposures according to remaining maturities:

31 December 2015	**Term to Maturity**				
	1 month	*1–3 months*	*3–6 mounts*	*6–12 months*	*Over 1 year*
Exposure Categories (*)(**)					
Conditional and unconditional receivables from central governments or central banks	17.574	20.021	21.278	87.054	7.847
Conditional and unconditional receivables from regional or local governments	-	-	-	-	-
Conditional and unconditional receivables from administrative units and non-commercial enterprises	-	-	-	-	-
Conditional and unconditional receivables from multilateral development banks	-	-	-	-	-
Conditional and unconditional receivables from international organizations	-	-	-	-	-
Conditional and unconditional receivables from banks and brokerage houses	8.861	54.625	-	-	-
Conditional and unconditional receivables from corporates	152	651	213	1.325	2.338
Conditional and unconditional retail receivables	246	62	977	153	309
Conditional and unconditional receivables secured by mortgages	-	-	-	-	-
Past due receivables	-	-	-	-	-
Receivables defined in high risk category by BRSA	-	-	-	-	-
Securities collateralized by mortgages	-	-	-	-	-
Securitization positions	-	-	-	-	-
Short-term receivables from banks, brokerage houses and corporates	-	-	-	-	-
Investments similar to collective investment funds	-	-	-	-	-
Other receivables	-	-	-	-	-
TOTAL	**26.833**	**75.359**	**22.468**	**88.532**	**10.494**

(*) Includes risk amounts before the effect of credit risk mitigation but after the credit conversions.
(**) Credit risk amounts which have no maturities do not comprise in the table.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

II. EXPLANATIONS ON CREDIT RISK (Continued)

k. Analysis of maturity-bearing exposures according to remaining maturities (Continued):

31 December 2014	Term to Maturity				
	1 month	*1–3 months*	*3–6 mounts*	*6–12 months*	*Over 1 year*
Exposure Categories (*)(**)					
Conditional and unconditional receivables from central governments or central banks	13.217	19.034	12.259	58.094	33.039
Conditional and unconditional receivables from regional or local governments	-	-	-	-	-
Conditional and unconditional receivables from administrative units and non-commercial enterprises	-	-	-	-	-
Conditional and unconditional receivables from multilateral development banks	-	-	-	-	-
Conditional and unconditional receivables from international organizations	-	-	-	-	-
Conditional and unconditional receivables from banks and brokerage houses	29.558	7.047	1.067	-	-
Conditional and unconditional receivables from corporates	349	1.085	417	2.266	2.216
Conditional and unconditional retail receivables	378	898	33	86	352
Conditional and unconditional receivables secured by mortgages	-	-	-	-	-
Past due receivables	-	-	-	-	-
Receivables defined in high risk category by BRSA	-	-	-	-	-
Securities collateralized by mortgages	-	-	-	-	-
Securitization positions	-	-	-	-	-
Short-term receivables from banks, brokerage houses and corporates	-	-	-	-	-
Investments similar to collective investment funds	-	-	-	-	-
Other receivables	-	-	-	-	-
TOTAL	**43.502**	**28.064**	**13.776**	**60.446**	**35.607**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

II. EXPLANATIONS ON CREDIT RISK (Continued)

l. Exposure Categories:

External risk ratings are not used to determine the risk weigths of the risk categories as per the Article 6 of the "Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks".

m. Exposures by risk weights:

Risk weights	0%	10%	20%	50%	75%	100%	150%	200%	1250%	Deductions from Equity
Exposures before Credit Risk Mitigation	189.097	-	5.512	-	-	150.117	230	39	-	-
Exposures after Credit Risk Mitigation	189.891	-	5.512	-	-	149.323	230	39	-	-

n. Information by major sectors and type of counterparties:

As per the TAS and TFRS;
Impaired Credits; are the credits that either overdue more than 90 days as of the reporting date or are treated as impaired due to their creditworthiness. For such credits, "specific provisons" are allocated as per the Provisioning Regulation.

Past Due Credits; are the credits that overdue upto 90 days but not impaired. For such credits, "general provisions" are allocated as per the Provisioning Regulation.

31 December 2015	Credits			
	Impaired Credits	Past Due Credits	Value Adjustments (*)	Provisions(**)
Agriculture	-	-	-	-
Farming and Stockbreeding	-	-	-	-
Forestry	-	-	-	-
Fishery	-	-	-	-
Manufacturing	-	-	-	-
Mining and Quarrying	-	-	-	-
Production	-	-	-	-
Electricity, Gas and Water	-	-	-	-
Construction	7.356	-	-	3.081
Services	-	-	-	-
Wholesale and Retail Trade	-	-	-	-
Accommodation and Dining	-	-	-	-
Transportation and Telecom.	-	-	-	-
Financial Institutions	-	-	-	-
Real Estate and Rental	-	-	-	-
Professional Services	-	-	-	-
Educational Services	-	-	-	-
Health and Social Services	-	-	-	-
Others	257	-	-	75
Total	7.613	-	-	3.156

(*)The figures represent the general provision amount for past due loans.
(**) The figures represent the specific provisions amount for imparied loans.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

II. EXPLANATIONS ON CREDIT RISK (Continued)

n. Information by major sectors and type of counterparties: (Continued)

31 December 2014	Credits			
	Impaired Credits	Past Due Credits	Value Adjustments (*)	Provisions(**)
Agriculture	-	-	-	-
Farming and Stockbreeding	-	-	-	-
Forestry	-	-	-	-
Fishery	-	-	-	-
Manufacturing	-	-	-	-
Mining and Quarrying	-	-	-	-
Production	-	-	-	-
Electricity, Gas and Water	-	-	-	-
Construction	**7.367**	-	-	**2.981**
Services	**198**	-	-	**63**
Wholesale and Retail Trade	198	-	-	63
Accommodation and Dining	-	-	-	-
Transportation and Telecom.	-	-	-	-
Financial Institutions	-	-	-	-
Real Estate and Rental	-	-	-	-
Professional Services	-	-	-	-
Educational Services	-	-	-	-
Health and Social Services	-	-	-	-
Others	**257**	-	-	**75**
Total	**7.822**	-	-	**3.119**

(*)The figures represent the general provision amount for past due loans.
(**) The figures represent the specific provisions amount for imparied loans.

o. Movements in value adjustments and provisions:

31 December 2015	Opening Balance	Provision for Period	Provision Reversals	Other Adjustments	Closing Balance
Specific Provisions	3.119	100	(63)	-	3.156
General Provisions	1.992	72	(95)	318	2.287

31 December 2014	Opening Balance	Provision for Period	Provision Reversals	Other Adjustments	Closing Balance
Specific Provisions	2.041	1.078	-	-	3.119
General Provisions	2.317	77	(402)	-	1.992

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

III. EXPLANATIONS ON MARKET RISK:

The Branch defines the market risk as the fluctuations in its portfolio value with the changes in the parameters such as market prices, interest rate, currency rates and prices of common stocks.

The Bank has established market risk operations and has taken the necessary measures in order to hedge market risk within its financial risk management purposes, in accordance with the regulation that is published in the Official Gazette No: 28337 dated 28 June 2012 regulation on "Banks' Internal Control and Risk Management Systems" and the "Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks".

Trading activities in behalf of itself, trading securities and commodity lendings and derivative transactions are not used by the Branch.

Effect of TL intrest rates fluctuations caused by the avaliable for sales portfolio are assessed via duration method.

The Branch is exposed to the currency risk as the component of market risk. In principle board of managers are responsible for determine rules and limits for foreign currency position direction, amount and components, however this authority have been transferred to the Risk Committee. The Risk Committee is assessed the Turkey and global economic developments and if necessary the rules and the limits related to the foreign currency position are changed by the Risk Committee.

The parts of market risk is closely monitored by the board of managers as per the approved limits.

a. Information related to market risk:

	31 December 2015	*31 December 2014*
(I) Capital Obligation against General Market Risk - Standard Method	-	-
(II) Capital Obligation against Specific Risk - Standard Method	-	-
Capital Requirement against Specific Risks of Securitization Positions– Standard Method	-	-
(III) Capital Obligation against Currency Risk - Standard Method	1.742	1.342
(IV) Capital Obligation against Commodity Risk - Standard Method	-	-
(V) Capital Obligation against Settlement Risk - Standard Method	-	-
(VI) Total Capital Obligation against Market Risks of Options – Standard	-	-
(VII) Capital Requirement against Counterparty Credit Risks - Standard Method	-	-
(VIII) Total Capital Obligation against Market Risks of Banks applying Risk Measurement Models	-	-
(IX) Total Capital Obligation against Market Risk (I+II+III+IV+V+VI+VII)	**1.742**	**1.342**
(X) Value-At-Market Risk (12.5 x VIII) or (12.5 x IX)	**21.775**	**16.775**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

III. EXPLANATIONS ON MARKET RISK (Continued):

b. Market risk table of calculated market risk during the month ends

	31 December 2015		
	Average	**Maximum**	**Minimum**
Interest Rate Risk	-	-	-
Share Certificates Risk	-	-	-
Currency Risk	1.513	1.742	1.307
Commodity Risk	-	-	-
Settlement Risk	-	-	-
Option Risk	-	-	-
Counterparty Risk	-	-	-
Total Amount Subject to Risk	**1.513**	**1.742**	**1.307**

	31 December 2014		
	Average	**Maximum**	**Minimum**
Interest Rate Risk	-	-	-
Share Certificates Risk	-	-	-
Currency Risk	1.544	1.622	1.342
Commodity Risk	-	-	-
Settlement Risk	-	-	-
Option Risk	-	-	-
Counterparty Risk	-	-	-
Total Amount Subject to Risk	**1.544**	**1.622**	**1.342**

c. Quantitative information on counterparty risk

	Amount
Interest-Rate Contracts	-
Foreign-Exchange-Rate Contracts	-
Commodity Contracts	-
Equity-Shares Related Contracts	-
Other	-
Gross Positive Fair Values	-
Netting Benefits	-
Net Current Exposure Amount	-
Collaterals Received	-
Net Derivative Position	-

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

IV. EXPLANATIONS ON OPERATIONAL RISK:

The value at operational risk is calculated according to the basic indicator approach as per the Article 14 of "Regulation regarding Measurement and Assessment of Capital Adequacy Ratios of Banks".

The annual gross income is composed of net interest income and net non-interest income after deducting realised gains/losses from the sale of securities available-for-sale and held-to-maturity, extraordinary income and income derived from insurance claims at year-end.

Current Period

Basic Indicator Approach	31.12.2012	31.12.2013	31.12.2014	Total/ No. of Years of Positive Gross	Rate (%)	Total
Gross Income	41.203	18.149	15.552	24.968	15	3.745
Value at Operational Risk (Total*12.5)						46.815

Prior Period

Basic Indicator Approach	31.12.2011	31.12.2012	31.12.2013	Total/ No. of Years of Positive Gross	Rate (%)	Total
Gross Income	88.376	41.203	18.149	49.243	15	7.386
Value at Operational Risk (Total*12.5)						92.330

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

V. EXPLANATIONS ON CURRENCY RISK:

The Branch with the change in the currency system to floating currency, limits the total foreign currency position in accordance with the legal limits because of the increasing uncertainties in the changing currency path.The Branch does not hedge its foreign exchange debt instruments and net foreign exchange investments by the hedging derivatives.

The Branch holds position in line with the currency basket of CBRT to hedge the currency risk. Foreign Exchange asset-liability management has been effected as such all rates may be kept to be within liquidity and credit risks determined within the framework of risk-return profile of the Branch and in a way to ensure the sustainable profitability. Measurable and manageable risks have been undertaken as per the ratios that must be adhered to.

The foreign currency position risk of the Branch is monitored as per the limits and measured by "standard method"

The Branch's foreign exchange bid rates as of the date of the financial statements and for the last five days prior to that date are presented below:

	USD	Euro	100 Japanese Yen	U.A.E. Dirham
As of 31 December 2015	2,9181	3,1838	2,41800	0,79518
As of 30 December 2015	2,9084	3,1921	2,40980	0,79254
As of 29 December 2015	2,9157	3,2006	2,41330	0,79455
As of 26 December 2015	2,9123	3,1904	2,41460	0,79358
As of 25 December 2015	2,9187	3,1968	2,41890	0,79530

The simple arithmetical averages of the Branch's foreign exchange bid rates for the last thirty days are:

USD:	TL 2,9158
Euro:	TL 3,1660
100 Japenese Yen:	TL 2,3878
A.E.D:	TL 0,79455

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

V. EXPLANATIONS ON CURRENCY RISK: (Continued)

Information on the foreign currency exchange rate risk of the Branch

	Euro	USD	Other FC	Total
31 December 2015				
Assets				
Cash (Cash in Vault, Effectives, Cash in Transit, Cheques Purchased) and Balances with the Central Bank of the Republic of Turkey	11.185	30.413	159	41.757
Banks	27.929	53.792	110	81.831
Financial Assets at Fair Value Through Profit or Loss	-	-	-	-
Interbank Money Market Placements	-	-	-	-
Available-for-Sale Financial Assets	-	-	-	-
Loans and Receivables	1.423	-	-	1.423
Investments in Associates, Subsidiaries and Joint Ventures	-	-	-	-
Held to Maturity Securities	-	-	-	-
Hedging Derivative Financial Assets	-	-	-	-
Tangible Assets	-	-	-	-
Intangible Assets	-	-	-	-
Other Assets	13	422	-	435
Total Assets	**40.550**	**84.627**	**269**	**125.446**
Liabilities				
Bank Deposits	13.751	67.560	40	81.351
Foreign Currency Deposits	17.496	4.034	406	21.936
Funds from Interbank Money Market	-	-	-	-
Borrowings	-	-	-	-
Marketable Securities Issued	-	-	-	-
Sundry Creditors	443	123	-	566
Hedging Derivative Financial Liabilities	-	-	-	-
Other Liabilities	6	5	-	11
Total Liabilities	**31.696**	**71.722**	**446**	**103.864**
Net On-Balance Sheet Position	**8.854**	**12.905**	**(177)**	**21.582**
Net Off Balance Sheet Position	-	-	-	-
Financial Derivative Assets	-	-	-	-
Financial Derivative Liabilities	-	-	-	-
Non-Cash Loans	**606**	**276**	-	**882**
31 December 2014				
Total Assets	65.860	55.121	1.175	122.156
Total Liabilities	57.902	46.859	862	105.623
Net On-Balance Sheet Position	**7.958**	**8.262**	**313**	**16.533**
Net Off Balance Sheet Position	-	-	-	-
Financial Derivative Assets	-	-	-	-
Financial Derivative Liabilities	-	-	-	-
Non-Cash Loans	**2.133**	**283**	-	**2.416**

The table above summarizes the Branch's exposure to foreign currency exchange rate risk, categorised by currency. Foreign currency indexed assets, classified as Turkish lira assets according to the Uniform Chart of Accounts, are considered as foreign currency assets for the calculation of net foreign currency position. As of 31 December 2015, the Branch has no foreign currency indexed loans (December 31, 2014: None) that is recorded on the TL column in the balance sheet has not been included in the table above. Besides, general loan loss provision amounting to TL 1.824 thousand (31 December 2014: TL 1.445 thousand) has also not been included in the table above. The provision was determined for non-cash loan in the amount of TL 19

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

VI. EXPLANATIONS ON INTEREST RATE RISK

"Interest rate risk" is defined as the impact of interest rate changes on interest-sensitive assets and liabilities of the Branch.

The Branch evaluates interest rate in two dimensions. This is maturity risk originating from the differences of maturity structures and repricing risk originating from the fluctuations of net interest margin. Interest rate risk is managed using natural hedges that arise from offsetting interest rate sensitive assets with interest rate sensitive liabilities.

Interest rate sensitivity of assets, liabilities and off-balance sheet items (based on repricing dates):

31 December 2015	Up to 1 Month	1 – 3 Months	3 – 12 Months	1– 5 years	Over 5 years	Non Interest Bearing	Total
Assets							
Cash (Cash in Vault, Effectives, Cash in Transit, Cheques Purchased) and Balances with the Central Bank of the Republic of Turkey	28.428	-	-	-	-	15.817	44.245
Banks	6.383	52.190	-	-	-	57.428	116.001
Financial Assets at Fair Value Through Profit or Loss	-	-	-	-	-	-	-
Interbank Money Market Placements	7.201	-	-	-	-	-	7.201
Available-for-Sale Financial Assets	12.851	22.459	108.332	7.847	-	727	152.216
Loans and Receivables	373	892	2.126	2.608	-	4.457	10.456
Held to Maturity Securities	-	-	-	-	-	-	-
Other Assets (1)	56	-	-	-	-	10.313	10.369
Total Assets	**55.292**	**75.541**	**110.458**	**10.455**	-	**88.742**	**340.488**
Liabilities							
Bank Deposits	9.978	20.428	-	-	-	63.667	94.073
Other Deposits	2.612	1.325	1.623	-	-	25.446	31.006
Funds From Interbank Money Market	-	-	-	-	-	-	-
Sundry Creditors	-	-	-	-	-	979	979
Marketable Securities Issued	-	-	-	-	-	-	-
Funds Borrowed From Other Financial Institutions	-	-	-	-	-	-	-
Other Liabilities (2)	444	-	32	-	-	213.954	214.430
Total Liabilities	**13.034**	**21.753**	**1.655**	-	-	**304.046**	**340.488**
Balance Sheet Long Position	**42.258**	**53.788**	**108.803**	**10.455**	-	-	**215.304**
Balance Sheet Short Position	-	-	-	-	-	**(215.304)**	**(215.304)**
Off-Balance Sheet Long Position	-	-	-	-	-	-	-
Off-Balance Sheet Short Position	-	-	-	-	-	-	-
Total Position	**42.258**	**53.788**	**108.803**	**10.455**	-	**(215.304)**	-

(1) "Other Assets" line includes Deferred Tax Assets, Tangible Assets, Assets Held for Resale and Other Assets.

(2) Shareholders' equity is presented under "Other liabilities" item in the "Non interest bearing" column.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

VI. EXPLANATIONS ON INTEREST RATE RISK (Continued)

31 December 2014	Up to 1 Month	1 – 3 Months	3 – 12 Months	1– 5 years	Over 5 years	Non Interest Bearing	Total
Assets							
Cash (Cash in Vault, Effectives, Cash in Transit, Cheques Purchased) and Balances with the Central Bank of the Republic of Turkey	1.767	-	-	-	-	55.304	57.071
Banks	26.046	-	-	-	-	73.072	99.118
Financial Assets at Fair Value Through Profit or Loss	-	-	-	-	-	-	-
Interbank Money Market Placements	6.001	-	-	-	-	-	6.001
Available-for-Sale Financial Assets	9.697	26.080	72.429	33.039	-	967	142.212
Loans and Receivables	354	2	4.139	1.677	-	4.703	10.875
Held to Maturity Securities	-	-	-	-	-	-	-
Other Assets (1)	1.031	-	-	-	-	10.011	11.042
Total Assets	**44.896**	**26.082**	**76.568**	**34.716**	**-**	**144.057**	**326.319**
Liabilities							
Bank Deposits	9.929	-	-	-	-	74.816	84.745
Other Deposits	997	11.139	1.578	-	-	21.996	35.710
Funds From Interbank Money Market	-	-	-	-	-	-	-
Sundry Creditors	-	-	-	-	-	2.508	2.508
Marketable Securities Issued	-	-	-	-	-	-	-
Funds Borrowed From Other Financial Institutions	-	-	-	-	-	-	-
Other Liabilities (2)	441	-	29	-	-	202.886	203.356
Total Liabilities	**11.367**	**11.139**	**1.607**	**-**	**-**	**302.206**	**326.319**
Balance Sheet Long Position	**33.529**	**14.943**	**74.961**	**34.716**	-	**-**	**158.149**
Balance Sheet Short Position	-	-	-	-	-	**(158.149)**	**(158.149)**
Off-Balance Sheet Long Position	-	-	-	-	-	-	-
Off-Balance Sheet Short Position	-	-	-	-	-	-	-
Total Position	**33.529**	**14.943**	**74.961**	**34.716**	-	**(158.149)**	**-**

(1) "Other Assets" line includes Deferred Tax Assets, Tangible Assets, Assets Held for Resale and Other Assets.

(2) Shareholders' equity is presented under "Other liabilities" item in the "Non interest bearing" column.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

VI. EXPLANATIONS ON INTEREST RATE RISK (Continued)

Effective average interest rates for monetary financial instruments:

Interest rates in the below tables are the weighted average rates of the related balance sheet items.

31 December 2015	Euro	USD	Yen	TL
	%	%	%	%
Assets				
Cash ve Central Bank of Turkey	-	0,28	-	5,01
Banks and Other Instutions	3,00	-	-	8,69
Financial Assets at Fair Value Through Profit / Loss	-	-	-	-
Interbank Money Market Placements	-	-	-	7,30
Available-for-Sale Financial Assets	-	-	-	9,16
Loans and Receivables	9,00	-	-	16,82
Held to Maturity Securities	-	-	-	-
Liabilities				
Bank Deposits	-	0,25	-	4,50
Other Deposits	0,25	0,53	-	4,31
Funds From Interbank Money Market	-	-	-	-
Sundry Creditors	-	-	-	-
Marketable Securities Issued	-	-	-	-
Funds Borrowed From Other Financial Institutions	-	-	-	-

31 December 2014	Euro	USD	Yen	TL
	%	%	%	%
Assets				
Cash ve Central Bank of Turkey	-	-	-	1,37
Banks and Other Instutions	-	-	-	8,30
Financial Assets at Fair Value Through Profit / Loss	-	-	-	-
Interbank Money Market Placements	-	-	-	7,52
Available-for-Sale Financial Assets	-	-	-	5,32
Loans and Receivables	-	-	-	14,75
Held to Maturity Securities	-	-	-	-
Liabilities				
Bank Deposits	-	-	-	-
Other Deposits	1,40	0,58	-	4,01
Funds From Interbank Money Market	-	-	-	-
Sundry Creditors	-	-	-	-
Marketable Securities Issued	-	-	-	-
Funds Borrowed From Other Financial Institutions	-	-	-	-

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

VI. EXPLANATIONS ON INTEREST RATE RISK (Continued)

Interest rate risk resulting from banking book:

According to "Regulation on Equities of Banks" published in the official gazette no 28756 dated 5 September 2013 and items followed in the trading book; interest rate risk is arising from all balance sheet and off-balance sheet items whihc are sensitive to interest except subordinated debts which are taken into account when equity is calculated. The interest rate risk resulting repricing risk, yield-curve risk, base risk and option risk.

Repricing Risk

The repricing risk is defined as probable loss from bank's net interest income and negative economic value caused by the interest rate fluctuations. On demand assets and liabilities in the Branch's balances sheet are not affected the fluctuations of interest rate change. Assets and liabilities,which having a fixed term, are sensitivite to the repricing risk.

Yield Curve Risk

The yield curve risk is defined as probable loss from bank's net interest income and negative economic value caused by the alteration of yield curve. The Branch has not used financial instruments which are exposed to the yield curve risk. The Branch has not exposed to the yield curve risk.

Base Risk

The base risk is defined as probable loss from bank's net interest income and negative economic value casued by the base of interest rate increase or decrease in the Bank's operations. The Branch has not used the different base of the operations.

Option risk

The option risk is defined as probable loss from bank's net interest income and negative economic value caused by the option right/liability included embedded. The Branch has not used derivative instruments. There is no interest sensitive items including option except time deposit and the part of amount is immaterial.

The interest rate risk resulting from the banking book is measured legally as per the "Regulation on Measurement and Evaluation of Interest Rate Risk Resulting from Banking Book as per Standard Shock Method". Economic value differences arising from interest rate fluctuations table is preparen in accordance with "Standard Shock Method" and presented as below

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

VI. EXPLANATIONS ON INTEREST RATE RISK (Continued)

Economic value differences resulted from interest rate instabilities calculated according to Regulation on Measurement and Evaluation of Interest Rate Risk Resulted from Banking Book as per Standard Shock Method is as follows:

31 December 2015

Type of Currency	Shocks Applied (+/- basis points)	Gains/Losses	Gains/Equity-Losses/Equity
1. TL	(+) 500	(3.718)	%(1,77)
	(-) 400	3.198	%1,52
2. USD	(+) 200	44	%0,02094
	(-) 200	(5)	%0,00
3. EUR	(+) 200	(9)	%(0,004)
	(-) 200	1	%0,00
Total (of negative shocks)		**3.194**	**%1,52**
Total (of positive shocks)		**(3.683)**	**%(1,76)**

31 December 2014

Type of Currency	Shocks Applied (+/- basis points)	Gains/Losses	Gains/Equity-Losses/Equity
1. TL	(+) 500	(4.528)	%(2,27)
	(-) 400	3.934	%1,97
2. USD	(+) 200	4	%0,00212
	(-) 200	-	%0,00
3. EUR	(+) 200	37	%0,018
	(-) 200	-	%0,00
Total (of negative shocks)		**3.934**	**%1,97**
Total (of positive shocks)		**(4.487)**	**%(2,25)**

Position risk of equity shares on banking book

a) Relation of risks with gains accounted under equity and analyzing according to their aims including strategic reasons and the accounting policies applied and general information about valuation techniques with assumptions in this application, the elements that manipulate valuation and important changes:

None.

b) Comparison of carrying, fair and market values of equity shares:

31 December 2015

	Comparison		
Equities	**Carrying Value**	**Fair Value**	**Market Value**
1) Securities Available for Sale	727	727	-
Quoted on Stock Exchange	727	727	-
2) Associates	-	-	-
Quoted on Stock Exchange	-	-	-
3) Subsidiaries	-	-	-
Quoted on Stock Exchange	-	-	-

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

VI. EXPLANATIONS ON INTEREST RATE RISK (Continued)

31 December 2014

	Comparison		
Equities	**Carrying Value**	**Fair Value**	**Market Value**
1) Securities Available for Sale	**967**	**967**	-
Quoted on Stock Exchange	967	967	-
2) Associates	-	-	-
Quoted on Stock Exchange	-	-	-
3) Subsidiaries	-	-	-
Quoted on Stock Exchange	-	-	-

c) Realized gains/losses, revaluation surpluses and unrealized gains/losses on equity securities and results included in core and supplementary capital

None.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

VII. EXPLANATIONS ON LIQUIDITY RISK:

Liquidity risk arises from the mismatching of maturities of assets and liabilities. The Branch balances the maturities of the related assets and liabilities, keeps the mismatch of maturities under control. Major objective of the Branch's asset and liability management is to ensure that sufficient liquidity is available to meet the Branch's commitments to customers and to satisfy the Branch's own liquidity needs.

The most important funding resources of the Branch for long-term and short-term liquidity needs are the headquarters and other banks.

Breakdown of assets and liabilities according to their outstanding maturities:

	Demand	Up to 1 Month	1 – 3 Months	3 – 12 Months	1 – 5 years	Over 5 years	Unclassified [1]	Total
31 December 2015								
Assets								
Cash and the Central Bank of the Republic of Turkey	15.859	28.386	-	-	-	-	-	44.245
Banks	57.428	6.383	52.190	-	-	-	-	116.001
Financial Assets at Fair Value Through Profit or Loss	-	-	-	-	-	-	-	-
Interbank Money Market Placements	-	7.201	-	-	-	-	-	7.201
Available-for-sale Financial Assets	-	12.851	22.459	108.332	7.847	-	727	152.216
Loans and Receivables	-	373	892	2.126	2.608	-	4.457	10.456
Held-to-maturity Securities	-	-	-	-	-	-	-	-
Other Assets [1]	56	-	-	119	-	-	10.194	10.369
Total Assets	**73.343**	**55.194**	**75.541**	**110.577**	**10.455**	**-**	**15.378**	**340.488**
Liabilities								
Bank Deposits	63.667	9.978	20.428	-	-	-	-	94.073
Other Deposits	25.446	2.612	1.325	1.623	-	-	-	31.006
Funds Borrowed From Other Financial Institutions	-	-	-	-	-	-	-	-
Funds From Interbank Money Market	-	-	-	-	-	-	-	-
Marketable Securities Issued	-	-	-	-	-	-	-	-
Sundry Creditors	979	-	-	-	-	-	-	979
Other Liabilities [2]	-	444	-	32	-	-	213.954	214.430
Total Liabilities	**90.092**	**13.034**	**21.753**	**1.655**	**-**	**-**	**213.954**	**340.488**
Net Liquidity Gap	**(16.749)**	**42.160**	**53.788**	**108.922**	**10.455**	**-**	**(198.576)**	**-**
31 December 2014								
Total Assets	106.266	67.091	26.082	76.659	34.716	-	15.505	326.319
Total Liabilities	109.249	1.438	11.139	1.607	-	-	202.886	326.319
Net Liquidity Gap	**(2.983)**	**65.653**	**14.943**	**75.052**	**34.716**	**-**	**(187.381)**	**-**

(1) Assets that are necessary for banking activities and that cannot be liquidated in the short-term, such as tangible assets, investments, subsidiaries, stationary, pre-paid expenses and non-performing loans, are classified in this column.

(2) Shareholders' Equity is presented under the "Other Liabilities" item in the "Un allocated" column.

Securitization Positions

None.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

VII. EXPLANATIONS ON LIQUIDITY RISK (Continued)

Credit Risk Mitigation Techniques

The Bank applies simple financial collateral method based on the Article 19 of the Communique on financial collateral that includes the effects of risk mitigation calculations at fair value in compliance with the Article 33 of the "Regulation on Credit Risk Mitigation Techniques".

For mitigating the credit risk, only cash and cash equivalents are used.

In cases, where there are maturity mismatches resulting from shorter remaining life of collateral than of receivables, the value of collateral is considered as the volatility-adjusted value.

Exposure Categories (31 December 2015)	Amount(**)	Financial Collaterals	Other/Physical Collaterals	Guaranties and Credit Derivatives
Conditional and unconditional receivables from central governments or central banks	167.561	-	-	-
Conditional and unconditional receivables from regional or local governments	-	-	-	-
Conditional and unconditional receivables from administrative units and non-commercial enterprises	-	-	-	-
Conditional and unconditional receivables from multilateral development banks	-	-	-	-
Conditional and unconditional receivables from international organizations	-	-	-	-
Conditional and unconditional receivables from banks and brokerage houses	121.642	-	-	-
Conditional and unconditional receivables from Corporates	6.193	442	4.869	-
Conditional and unconditional retail receivables	1.963	352	430	-
Conditional and unconditional receivables secured by Mortgages	-	-	-	-
Past due receivables(*)	4.690	-	4.690	-
Receivables defined in high risk category by BRSA	-	-	-	-
Securities collateralized by mortgages	-	-	-	-
Securitization positions	-	-	-	-
Short-term receivables from banks, brokerage houses and corporates	-	-	-	-
Investments similar to collective investment funds	-	-	-	-
Other receivables	42.946	-	-	-

(*)The mortgages used for the determination of the risk categories as per the article 6 of the "Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks", are excluded.

(**) Includes total risk amounts before the effect of credit risk mitigation but after credit conversions.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

VII. EXPLANATIONS ON LIQUIDITY RISK (Continued)

Credit Risk Mitigation Techniques (Continued)

Exposure Categories (31 December 2014)	Amount(**)	Financial Collaterals	Other/Physical Collaterals	Guaranties and Credit Derivatives
Conditional and unconditional receivables from central governments or central banks	163.027	-	-	-
Conditional and unconditional receivables from regional or local governments	-	-	-	-
Conditional and unconditional receivables from administrative units and non-commercial enterprises	-	-	-	-
Conditional and unconditional receivables from multilateral development banks	-	-	-	-
Conditional and unconditional receivables from international organizations	-	-	-	-
Conditional and unconditional receivables from banks and brokerage houses	111.715	-	-	-
Conditional and unconditional receivables from Corporates	9.948	933	9.650	-
Conditional and unconditional retail receivables	1.950	1.530	100	-
Conditional and unconditional receivables secured by Mortgages	-	-	-	-
Past due receivables(*)	4.889	-	4.889	-
Receivables defined in high risk category by BRSA	-	-	-	-
Securities collateralized by mortgages	-	-	-	-
Securitization positions	-	-	-	-
Short-term receivables from banks, brokerage houses and corporates	-	-	-	-
Investments similar to collective investment funds	-	-	-	-
Other receivables	41.924	-	-	-

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

VII. EXPLANATIONS ON LIQUIDITY RISK (Continued)

Explanations on risk management objectives and policies

Risk is defined as a possibility of reduction in economic benefit in case of emerging a monetary loss related to a process or activity occuring an expense or loss.

The Bank is exposed to some risks due to perform activities in order to achieve its targets.Purpose of the risk management is to ensure that identification, measurement, reporting, monitoring, controlling of the risks exposed, in line with determinated application procedures and the limits, and internal capital requirements consistent with the adopted risk profile within this context.

While risk management policies and procedures are determining , matters which are written below are considered.

- The bank's vision, mission, strategy and aims
- The bank's products and activities which has priority and weight,and theirs volume and property,
- The bank's organizational structure and human resources,
- Past events and experiences related to risks which will be exposed,
- The scope and quality of the data base for the risk management,
- The adequacy of the bank's technology and its contribution level of risk monitoring and management activities,
- Internal capital requirement and the actual capital levels and the level of risk consistent with these,

Risk management policies and procedures are determined and improved by considering bank's size;scope and complexity of activities and variety of used product,etc. When considered from this point of view,credit risk management is highly important.

Breakdown of financial liabilities according to their remaining contractual maturities:

31 December 2015	Demand and Up to 1 month	1-3 Months	3-12 Months	1-5 Years	Above 5 years	Total
Liabilities						
Deposit	101.738	21.761	1.628	-	-	125.127
Funds Borrowed From Other Financial Institutions	-	-	-	-	-	-
Total	**101.738**	**21.761**	**1.628**	-	-	**125.127**

31 December 2014	Demand and Up to 1 month	1-3 Months	3-12 Months	1-5 Years	Above 5 years	Total
Liabilities						
Deposit	107.738	13.548	1.578	-	-	122.864
Funds Borrowed From Other Financial Institutions	-	-	-	-	-	-
Total	**107.738**	**13.548**	**1.578**	-	-	**122.864**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

VII. Explanations on consolidated liquidity risk (continued)

Leverage ratio

The leverage ratio table prepared in accordance with the communiqué "Regulation on Measurement and Assessment of Leverage Ratios of Banks" published in the Official Gazette no. 28812 dated 5 November 2013 is presented below:

	On-balance sheet assets	Current Period(*)
1	On-balance sheet items (excluding derivative financial instruments and credit derivatives but including collateral)	339.222
2	(Assets deducted in determining Tier 1 capital)	(77)
3	Total on-balance sheet risks (sum of lines 1 and 2)	339.145
	Derivative financial instruments and credit derivatives	-
4	Replacement cost associated with all derivative instruments and credit derivatives	-
5	Add-on amounts for PFE associated with all derivative instruments and credit derivatives	-
6	Total risks of derivative financial instruments and credit derivatives (sum of lines 4 to 5)	-
	Securities or commodity financing transactions (SCFT)	-
7	Risks from SCFT assets (Excluding balance sheet items)	-
8	Risks from brokerage activities related exposures	-
9	Total risks related with securities or commodity financing transactions (sum of lines 7 to 8)	-
	Other off-balance sheet transactions	-
10	Gross notional amounts of off-balance sheet transactions	4.690
11	(Adjustments for conversion to credit equivalent amounts)	-
12	Total risks of off-balance sheet items (sum of lines 10 and 11)	4.690
	Capital and total risks	
13	Tier 1 capital	207.267
14	Total risk amount (3, 6, 9 and 12 th line totals)	343.835
	Leverage ratio	
15	Leverage ratio	60,28

(*) Amounts in the table are three-month average amounts.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

VII. Explanations on consolidated liquidity risk (continued)

Liquidity Coverage Ratio

	Current Period	Total Unweighted Value (Average) (*)		Total Weighted Value (Average) (*)	
		TL+FC	FC	TL+FC	FC
High-Quality Liquid Assets				**183.006**	**33.969**
1	Total high-quality liquid assets (HQLA)	191.343	41.942	183.006	33.969
Cash Outflows					
2	Retail deposits and deposits from small usiness customers, of which:	**4.370**	**4.410**	**306**	**296**
3	Stable deposits	2.620	2.420	131	121
4	Less stable deposits	1.750	1.990	175	175
5	Unsecured wholesale funding, of which:	**111.679**	**99.666**	**92.960**	**86.515**
6	Operational deposits	1.020	1.012	255	253
7	Non-operational deposits	29.923	20.653	11.969	8.261
8	Unsecured funding	80.736	78.001	80.736	78.001
9	Secured wholesale funding				
10	Other cash outflows of which	**0**	**0**	**0**	**0**
11	Outflows related to derivative exposures and other collateral requirements				
12	Outflows related to restructured financial instruments				
13	Payment commitments and other off-balance sheet commitments granted for debts to financial markets				
14	Other revocable off-balance sheet commitments and contractual obligations				
15	Other irrevocable or conditionally revocable off-balance sheet obligations	4.600	790	553	171
16	**Total Cash Outflows**			**93.819**	**86.982**
Cash Inflows					
17	Secured receivables				
18	Unsecured receivables				
19	Other cash inflows	93.744	75.190	93.744	75.190
20	**Total Cash Inflows**	**93.744**	**75.190**	**93.744**	**75.190**
21	**Total HQLA**			183.006	33.969
22	**Total Net Cash Outflows**			23.799	22.109
23	Liquidity Coverage Ratio (%)			774,77	153,59

(*) The average of last three months' liquidity coverage ratio calculated by monthly and weekly simple averages.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

VII. Explanations on consolidated liquidity risk (continued)

The table below presents highest, lowest and average liquidity coverage ratios of the year 2015:

	Highest	Date	Lowest	Date	Average
TL+FC	929,40	02.01.2015	189,26	23.12.2015	824,56
FC	257,03	18.03.2015	122,38	11.09.2015	194,53

VIII. EXPLANATIONS ON PRESENTATION OF FINANCIAL ASSETS AND LIABILITIES AT THEIR FAIR VALUES:

The expected fair value of the demand deposits represents the amount to be paid upon request. The expected fair value of loans and receivables are determined by calculating the discounted cash flows using the current market interest rates for the fixed loans with fixed interest rates.

The expected fair value of loans and receivables are determined by calculating the discounted cash flows using the current market interest rates for the fixed loans with fixed interest rates. For the loans with floating interest rates, it is assumed that the carrying value reflects the fair value.

The following table summarises the carrying values and fair values of some financial assets and liabilities of the Branch. The carrying value represents the acquisition costs and accumulated interest accruals of corresponding financial assets or liabilities.

	Carrying Value		Fair Value	
	31 December 2015	31 December 2014	31 December 2015	31 December 2014
Financial Assets	**285.874**	**258.206**	**286.234**	**258.292**
Money Markets	7.201	6.001	7.201	6.001
Banks	116.001	99.118	116.001	99.118
Available-for-sale Financial Assets	152.216	142.212	152.216	142.212
Loans and Receivables	10.456	10.875	10.816	10.961
Financial Liabilities	**126.058**	**122.963**	**126.058**	**122.963**
Bank Deposits	94.073	84.745	94.073	84.745
Other Deposits	31.006	35.710	31.006	35.710
Funds Borrowed	-	-	-	-
Sundry Creditors	979	2.508	979	2.508

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH (Continued)

VIII. EXPLANATIONS ON PRESENTATION OF FINANCIAL ASSETS AND LIABILITIES AT THEIR FAIR VALUES (Continued):

TFRS 7, "Financial Instruments: Disclosures", requires classification of line items at fair value presented at financial statements according to the defined levels. These levels depend on the observability of data used during fair value calculations. Classification for fair value is as follows:

Level 1: Assets or liabilities with prices recorded (unadjusted) in active markets

Level 2: Assets or liabilities that are excluded in the Level 1 of recorded prices directly observable by prices or indirectly observable derived through prices observable from similar assets or liabilities

Level 3: Assets and liabilities where no observable market data can be used for valuation

According to these classification principles stated, the Group's classification of financial assets and liabilities carried at their fair value are as follows:

31 December 2015	**Level 1**	**Level 2**	**Level 3**	**Total**
Financial Assets at Fair Value Through Profit or (Loss) (Net)	-	-	-	-
Public Debt Securities	-	-	-	-
Share Certificates	-	-	-	-
Trading Derivative Financial Assets	-	-	-	-
Available-for-Sale Financial Assets (Net)	**152.216**	-	-	**152.216**
Public Debt Securities	146.573	-	-	146.573
Other Marketable Securities(1)	5.643	-	-	5.643
			-	
Total Assets	**152.216**	-	-	**152.216**
Trading Derivative Financial Liabilities	-	-	-	-
Hedging Derivative Financial Liabilities	-	-	-	-
Total Liabilities	-	-	-	-
31 December 2014	**Level 1**	**Level 2**	**Level 3**	**Total**
Financial Assets at Fair Value Through Profit or (Loss) (Net)	-	-	-	-
Public Debt Securities	-	-	-	-
Share Certificates	-	-	-	-
Trading Derivative Financial Assets	-	-	-	-
Available-for-Sale Financial Assets (Net)	**142.212**	-	-	**142.212**
Public Debt Securities	130.650	-	-	130.650
Other Marketable Securities(1)	11.562	-	-	11.562
			-	
Total Assets	**142.212**	-	-	**142.212**
Trading Derivative Financial Liabilities	-	-	-	-
Hedging Derivative Financial Liabilities	-	-	-	-
Total Liabilities	-	-	-	-

IX. EXPLANATIONS ON ACTIVITIES CARRIED OUT ON BEHALF AND ACCOUNT OF OTHER PARTIES AND FIDUCIARY ASSETS:

The Branch does not perform buying transactions on behalf of customers, and gives custody, administration and advisory services. The Branch does not deal with fiduciary transactions.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

SECTION FIVE

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS

I. EXPLANATIONS AND NOTES RELATED TO ASSETS:

a. Information related to cash and the account of the Central Bank of the Republic of Turkey (the "CBRT):

1. Information related to cash and the account of CBRT:

	31 December 2015		31 December 2014	
	TL	FC	TL	FC
Cash	1.708	14.109	1.283	30.806
The CBRT	780	27.648	1.839	23.143
Other	-	-	-	-
Total	**2.488**	**41.757**	**3.122**	**53.949**

2. Information related to the account of the CBRT:

	31 December 2015		31 December 2014	
	TL	FC	TL	FC
Demand Unrestricted Account [(1)]	12	-	74	-
Time Unrestricted Account	-	11.084	-	-
Time Restricted Account	768	1.924	1.765	15.245
Reserve Requirement	-	14.640	-	7.898
Total	**780**	**27.648**	**1.839**	**23.143**

(1) The TL reserve requirement booked as average has been classified in "Central Bank Demand Unrestricted Account" based on the correspondence with BRSA as of 3 January 2008.

3. Information on reserve requirements:

As of 31 December 2015, the reserve rates for the reserve deposits at the Central Bank of Turkey for Turkish Lira are implemented within an interval from 5% to 11,5% depending on the maturity of deposits and the reserve rates for the foreign currency liabilities are within an interval from 9% to 13% depending on the maturity of deposits. No interest payments have been made for the foreign currency required reserves. Besides, for required reserves of Turkish Lira, interest payments have begun as of November 2014.

b. Information on financial assets at fair value through profit or loss:

As of 31 December 2015, the Branch does not have any financial assets at fair value through profit or loss (31 December 2014: None).

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

c. Information on Banks:

1. Information on banks:

	31 December 2015		31 December 2014	
	TL	FC	TL	FC
Banks				
Domestic	210	54.270	184	45.112
Foreign	6	600	6	526
Head Quarters and Branches Abroad	33.954	26.961	32.106	21.184
Other Financial Institutions	-	-	-	-
Total	**34.170**	**81.831**	**32.296**	**66.822**

2. Information on foreign banks account::

	Unrestricted Amount		Restricted Amount	
	31 December 2015	31 December 2014	31 December 2015	31 December 2014
EU Countries	329	291	-	-
USA, Canada	-	-	-	-
OECD Countries [1]	24	21	-	-
Off-Shore Banking Regions	-	-	-	-
Other	253	220	-	-
Total	**606**	**532**	-	-

[1] OECD countries except EU countries, USA and Canada.

d. Information on available-for-sale financial assets, net:

1. As of 31 December 2015 there are no available for-sale-financial assets subject to repo transactions (31 December 2014: None).

2. As of 31 December 2015 there are no available-for-sale financial assets given as collateral/blocked amount (31 December 2014: None).

3. Information on available-for-sale financial assets:

	31 December 2015	31 December 2014
Debt Securities	151.602	141.245
Quoted on Stock Exchange	151.602	141.245
Not Quoted	-	-
Share Certificates	1.237	1.237
Quoted on Stock Exchange	1.237	1.237
Not Quoted	-	-
Impairment Provision (-)	(623)	(270)
Total	**152.216**	**142.212**

*Impairment Provisions for share certificates TL 510 thousands, TL 113 thousands impairment provision for debt securities.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

e. Information on loans:

1. Information on all types of loans and advances given to shareholders and employees of the Branch:

	31 December 2015		31 December 2014	
	Cash	Non-cash	Cash	Non-cash
Direct Loans Granted to Branch's Shareholders	-	-	-	-
Corporate Shareholders	-	-	-	-
Real Person Shareholders	-	-	-	-
Indirect Loans Granted to Branch's Shareholders	-	-	-	-
Loans Granted to Branch's Employees	259	-	192	-
Total	259	-	192	-

2. Information on the first and second group loans, other receivables and loans that have been restructured or rescheduled and other receivables:

Cash Loans (31 December 2014)	Standard Loans and Other Receivables			Loans and Other Receivables Under Close Monitoring		
	Loans and Other Receivables (Total)	Loans and Receivables with Revised Contract Terms		Loans and Other Receivables (Total)	Loans and Receivables with Revised Contract Terms	
		Extension of Repayment Plan	Other		Extension of Repayment Plan	Other
Non-specialized Loans	5.874	125	-	-	-	-
Working Capital Loans	-	-	-	-	-	-
Export Loans	1.423	-	-	-	-	-
Import Loans	-	-	-	-	-	-
Loans to Financial	-	-	-	-	-	-
Consumer Loans	309	4	-	-	-	-
Credit Cards	-	-	-	-	-	-
Others (*)	4.142	121	-	-	-	-
Specialization Loans	-	-	-	-	-	-
Other Receivables	-	-	-	-	-	-
Total	5.874	125	-	-	-	-

(*)Discount notes are included that the balance.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

e. Information on loans: (Continued)

Cash Loans (31 December 2014)	Standard Loans and Other Receivables			Loans and Other Receivables Under Close Monitoring		
	Loans and Other Receivables (Total)	Loans and Receivables with Revised Contract Terms		Loans and Other Receivables (Total)	Loans and Receivables with Revised Contract Terms	
		Extension of Repayment Plan	Other		Extension of Repayment Plan	Other
Non-specialized Loans	**4.834**	**1.338**	-	-	-	-
Working Capital Loans	-	-	-	-	-	-
Export Loans	-	-	-	-	-	-
Import Loans	-	-	-	-	-	-
Loans to Financial	-	-	-	-	-	-
Consumer Loans	221	-	-	-	-	-
Credit Cards	-	-	-	-	-	-
Others (*)	4.613	1.338	-	-	-	-
Specialization Loans	-	-	-	-	-	-
Other Receivables	-	-	-	-	-	-
Total	**4.834**	**1.338**	-	-	-	-

(*)Discount notes are included that the balance.

Loans and other receivables with extended payment plans;

31 Decemeber 2015

No. of Extensions	Performing Loans and Other Receivables	Loans and Other Receivables under Follow-up
1 or 2 times	125	-
3, 4 or 5 times	-	-
Over 5 times	-	-

31 December 2014

No. of Extensions	Performing Loans and Other Receivables	Loans and Other Receivables under Follow-up
1 or 2 times	1.338	-
3, 4 or 5 times	-	-
Over 5 times	-	-

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

e. Information on loans (Continued):

Loans and other receivables with extended payment plans (continued):

31 December 2015

Extention Periods	Performing Loans and Other Receivables	Loans and Other Receivables under Follow-up
0 - 6 months	4	-
6 - 12 months	121	-
1 - 2 years	-	-
2 - 5 year	-	-
5 years and over	-	-

31 December 2014

Extention Periods	Performing Loans and Other Receivables	Loans and Other Receivables under Follow-up
0 - 6 months	-	-
6 - 12 months	1.338	-
1 - 2 years	-	-
2 - 5 year	-	-
5 years and over	-	-

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

e. Information on loans (Continued):

3. Maturity analysis of cash loans:

	Standard Loans and Other Receivables		Loans and Other Receivables Under Close Monitoring	
31 December 2015	Loans and other receivables	Restructured or Rescheduled	Loans and other receivables	Restructured or Rescheduled
Short-term Loans and Other Receivables	**1.913**	-	-	-
Non-specialised Loans	1.913	-	-	-
Specialised Loans	-	-	-	-
Other Receivables	-	-	-	-
Medium and Long-term Loans and Other Receivables	**4.086**	-	-	-
Non-specialised Loans	4.086	-	-	-
Specialised Loans	-	-	-	-
Other Receivables	-	-	-	-

	Standard Loans and Other Receivables		Loans and Other Receivables Under Close Monitoring	
31 December 2014	Loans and other receivables	Restructured or Rescheduled	Loans and other receivables	Restructured or Rescheduled
Short-term Loans and Other Receivables	**581**	-	-	-
Non-specialised Loans	581	-	-	-
Specialised Loans	-	-	-	-
Other Receivables	-	-	-	-
Medium and Long-term Loans and Other Receivables	**5.591**	-	-	-
Non-specialised Loans	5.591	-	-	-
Specialised Loans	-	-	-	-
Other Receivables	-	-	-	-

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

e. Information on loans (Continued):

4. Information on consumer loans, consumer credit cards, personnel loans and personnel credit cards:

31 December 2015	Short-term	Long and medium term	Total
Consumer Loans - TL	11	43	54
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	11	43	54
Other	-	-	-
Consumer Loans - FC indexed	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	-	-
Other	-	-	-
Consumer Loans - FC	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	-	-
Other	-	-	-
Consumer Credit Cards – TL	-	-	-
With installment	-	-	-
Without installment	-	-	-
Consumer Credit Cards – FC	-	-	-
With installment	-	-	-
Without installment	-	-	-
Personnel Loans - TL	-	259	259
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	259	259
Other	-	-	-
Personnel Loans – FC indexed	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	-	-
Other	-	-	-
Personnel Loans-FC	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	-	-
Other	-	-	-
Personnel Credit Cards – TL	-	-	-
With installment	-	-	-
Without installment	-	-	-
Personnel Credit Cards – FC	-	-	-
With installment	-	-	-
Without installment	-	-	-
Overdraft-TL (Real Person)	-	-	-
Overdraft-FC (Real Person)	-	-	-
Total Consumer Loans	11	302	313

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

e. Information on loans (Continued):

4. Information on consumer loans, consumer credit cards, personnel loans and personnel credit cards (Continued):

31 December 2014	Short-term	Long and medium term	Total
Consumer Loans - TL	-	29	29
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	29	29
Other	-	-	-
Consumer Loans - FC indexed	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	-	-
Other	-	-	-
Consumer Loans - FC	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	-	-
Other	-	-	-
Consumer Credit Cards – TL	-	-	-
With installment	-	-	-
Without installment	-	-	-
Consumer Credit Cards – FC	-	-	-
With installment	-	-	-
Without installment	-	-	-
Personnel Loans - TL	11	181	192
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	7	7
Other	11	174	185
Personnel Loans – FC indexed	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	-	-
Other	-	-	-
Personnel Loans-FC	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
Consumer loans	-	-	-
Other	-	-	-
Personnel Credit Cards – TL	-	-	-
With installment	-	-	-
Without installment	-	-	-
Personnel Credit Cards – FC	-	-	-
With installment	-	-	-
Without installment	-	-	-
Overdraft-TL (Real Person)	-	-	-
Overdraft-FC (Real Person)	-	-	-
Total Consumer Loans	11	210	221

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

e. Information on loans (Continued):

5. Information on commercial installment loans and corporate credit cards:

	31 December 2015			31 December 2014		
	Short Term	**Medium and Long Term**	**Total**	**Short Term**	**Medium and Long Term**	**Total**
Commercial Loans with Installment Facility - TL	**128**	**2.511**	**2.639**	**350**	**3.893**	**4.243**
Real Estate Loans	-	-	-	-	-	-
Automobile Loans	-	-	-	-	-	-
Personal Need Loans	128	2.511	2.639	-	-	-
Other	-	-	-	350	3.893	4.243
Commercial Loans with Installment Facility – FC Indexed	-	-	-	-	-	-
Real Estate Loans	-	-	-	-	-	-
Automobile Loans	-	-	-	-	-	-
Personal Need Loans	-	-	-	-	-	-
Other	-	-	-	-	-	-
Commercial Loans with Installment Facility – FC	-	-	-	-	-	-
Real Estate Loans	-	-	-	-	-	-
Automobile Loans	-	-	-	-	-	-
Personal Need Loans	-	-	-	-	-	-
Other	-	-	-	-	-	-
Corporate Credit Cards – TL	-	-	-	-	-	-
Installment	-	-	-	-	-	-
Non – Installment	-	-	-	-	-	-
Corporate Credit Cards – FC	-	-	-	-	-	-
Installment	-	-	-	-	-	-
Non – Installment	-	-	-	-	-	-
Overdraft Accounts – TL (Legal Entities)	-	-	-	-	-	-
Overdraft Accounts – FC (Legal Entities)	-	-	-	-	-	-
Total	**128**	**2.511**	**2.639**	**350**	**3.893**	**4.243**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

e. Information on loans (Continued):

6. (i) Information on loans by types and specific provisions:

31 December 2015	Corporate Loans	Consumer Loans	Total
Standart loans	5.686	313	5.999
Non-Performing loans	7.613	-	7.613
Specific Provisions (-)	(3.156)	-	(3.156)
Total	**10.143**	**313**	**10.456**

31 December 2014	Corporate Loans	Consumer Loans	Total
Standart loans	5.951	221	6.172
Non-Performing loans	7.822	-	7.822
Specific Provisions (-)	(3.119)	-	(3.119)
Total	**10.654**	**221**	**10.875**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

e. Information on loans (Continued):

6. (ii) Fair value of collaterals (Loans and advances given to customers):

31 December 2015	Corporate Loans	Consumer Loans	Total
Watch listed	-	-	-
Non-Performing loans (*)	4.457	-	4.457
Total	**4.457**	-	**4.457**

(*) Refers net amounts

31 December 2014	Corporate Loans	Consumer Loans	Total
Watch listed	-	-	-
Non-Performing loans (*)	4.703	-	4.703
Total	**4.703**	-	**4.703**

(*) Refers net amounts

7. Loans according to type of borrowers::

	31 December 2015	31 December 2014
Public	-	-
Private	5.999	6.172
Total	**5.999**	**6.172**

8. Distribution of domestic and foreign loans: Loans are classified according to the locations of the customers.

	31 December 2015	31 December 2014
Domestic Loans	5.799	6.172
Foreign Loans	200	-
Total	**5.999**	**6.172**

9. Loans granted to investments in associates and subsidiaries:

None (31 December 2014: None).

10. Specific provisions provided against loans:

	31 December 2015	31 December 2014
Loans and other receivables with limited collectibility	-	-
Loans and other receivables with doubtful collectibility	-	-
Uncollectible loans and other receivables	(3.156)	(3.119)
Total	**(3.156)**	**(3.119)**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

e. Information on loans (Continued):

11. Information on non-performing loans (Net):

11 (i) Information on loans and other receivables rescheduled or restructured from non-performing loans:

The Branch has no loans and other receivables rescheduled or restructured from non-performing loans.

11 (ii) Information on the movement of total non-performing loans:

	III. Group	IV. Group	V. Group
	Loans and Other Receivables with Limited Collectibility	Loans and Other Receivables with Doubtful Collectibility	Uncollectible Loans and Other Receivables
31 December 2014	-	-	**7.822**
Additions (+)	-	-	100
Transfers from other categories of non-performing loans (+)	-	-	-
Transfers to other categories of non-performing loans (-)	-	-	-
Collections (-)	-	-	(309)
Write-offs (-)	-	-	-
Corporate and commercial loans	-	-	-
Consumer loans	-	-	-
Credit cards	-	-	-
Others	-	-	-
31 December 2015	-	-	**7.613**
Sprecific provisions (-)	-	-	(3.156)
Net Balance on Balance Sheet	-	-	**4.457**

	III. Group	IV. Group	V. Group
	Loans and Other Receivables with Limited Collectibility	Loans and Other Receivables with Doubtful Collectibility	Uncollectible Loans and Other Receivables
31 December 2013	-	-	**7.797**
Additions (+)	-	-	25
Transfers from other categories of non-performing loans (+)	-	-	-
Transfers to other categories of non-performing loans (-)	-	-	-
Collections (-)	-	-	-
Write-offs (-)	-	-	-
Corporate and commercial loans	-	-	-
Consumer loans	-	-	-
Credit cards	-	-	-
Others	-	-	-
31 December 2014	-	-	**7.822**
Sprecific provisions (-)	-	-	(3.119)
Net Balance on Balance Sheet	-	-	**4.703**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

e. Information on loans (Continued):

11. Information on non-performing loans (Net) (Continued):

11 (iii) Information on non-performing loans granted as foreign currency loans:

The Branch has no foreign currency loans and other receivables in non-performing loans.

11 (iv) Information on non-performing loans according to user groups:

	III. Group	IV. Group	V. Group
	Loans and Other Receivables with Limited	Loans and Other Receivables with Doubtful	Uncollectible Loans and Other Receivables
31 December 2015 (Net)	-	-	**4.457**
Loans to real and legal persons (Gross)	-	-	7.613
Specific provisions (-)	-	-	(3.156)
Loans to real and legal persons (Net)	-	-	4.457
Banks (Gross)	-	-	-
Specific provisions (-)	-	-	-
Banks (Net)	-	-	-
Other loans and receivables (Gross)	-	-	-
Specific provisions (-)	-	-	-
Other loans and receivables (Net)	-	-	-
31 December 2014 (Net)	-	-	**4.703**
Loans to real and legal persons (Gross)	-	-	7.822
Specific provisions (-)	-	-	(3.119)
Loans to real and legal persons (Net)	-	-	4.703
Banks (Gross)	-	-	-
Specific provisions (-)	-	-	-
Banks (Net)	-	-	-
Other loans and receivables (Gross)	-	-	-
Specific provisions (-)	-	-	-
Other loans and receivables (Net)	-	-	-

12. The policy followed for the collection of uncollectible loans and other receivables:

Uncollectible loans and other receivables are aimed to be liquidated through the collection of collaterals and legal procedures. The policy of the Branch regarding the writing-off the non – performing loans is as writing-off the ones that are proved as uncollectible.

f. Information on the write-off policy

The Bank's general policy for write-offs of loans and receivables under follow-up is to write of such loans and receivables that are proven to be uncollectible in legal follow-up process.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

g. Information on held-to-maturity investments:

As of 31 December 2015 and 31 December 2014, the Branch has no held-to-maturity securities.

h. Information on investment in associates (Net):

As of 31 December 2015 and 31 December 2014, the Branch has no investments in associates.

i. Information on subsidiaries (Net):

As of 31 December 2015 and 31 December 2014, the Branch has no subsidiaries.

j. Information on joint ventures:

As of 31 December 2015 and 31 December 2014, the Branch has no joint ventures.

k. Information on finance lease receivables (Net):

None (31 December 2014: None).

l. Explanations on hedging derivative instruments:

None (31 December 2014: None).

m. Explanations on property and equipment:

	Immovables	Vehicles	Other Tangible Fixed Assets	Total
31 December 2015				
Cost	11.133	129	570	11.832
Accumulated depreciation	(2.966)	(86)	(300)	(3.352)
Net book value	**8.167**	**43**	**270**	**8.480**
31 December 2015				
Net book value at beginning of the year	**7.962**	**69**	**226**	**8.257**
Additions	379	-	160	539
Disposals, net	-	-	-	-
Transfers	-	-	-	-
Depreciation	(174)	(26)	(116)	(316)
Depreciation, Disposals	-	-	-	-
Depreciation, Transfers	-	-	-	-
Closing net book value	**8.167**	**43**	**270**	**8.480**
Cost at year end	11.133	129	570	11.832
Accumulated depreciation at year end	(2.966)	(86)	(300)	(3.352)
Closing net book value	**8.167**	**43**	**270**	**8.480**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued):

n. Explanations on intangible assets:

	Software	Total
31 December 2015		
Cost	662	662
Accumulated depreciation	(493)	(493)
Net book value	**169**	**169**
31 December 2015		
Net book value at beginning of the year	**169**	**169**
Additions	90	90
Disposals, net	-	-
Transfers	-	-
Depreciation	(186)	(186)
Depreciation, Disposals	-	-
Depreciation, Transfers	-	-
Closing net book value	**73**	**73**
Cost at year end	145	145
Accumulated depreciation at year end	(72)	(72)
Closing net book value	73	73

o. Explanations on investment property:

None (31 December 2014: None).

p. Explanations on investment property:

The Branch has no fiscal loss that can be deducted from current tax liability. Assets and liabilities, which are calculated over the temporary differences arising between applied accounting policies and valuation principles and tax legislation are accounted as TL 724 thousand (31 December 2014: TL 595 thousand) on net basis to deferred tax assets.

	31 December 2015		31 December 2014	
	Tax Base	**Deferred Tax**	**Tax Base**	**Deferred Tax**
Property, equipment and intangibles, net	1.075	215	1.159	232
Reserves for employment termination benefit	1.801	360	1.201	240
Court case provision	200	40	344	69
Shares	545	109	270	54
Total deferred tax asset	-	**724**	-	**595**
Total deferred tax liability	-	-	-	-
Deferred Tax Asset, net	-	**724**	-	**595**

r. Explanations on assets held for resale:

None (December 2014: None).

s. Explanations on other assets:

Other assets amount to TL 1.092 thousand (31 December 2014: TL 2.021 thousand) and do not exceed 10% of the total balance sheet, excluding off-balance sheet commitments.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES:

a. Information on deposits

1. Information on maturity structure of the deposits:

There are no deposits with seven days notification and accumulative deposits.

(i) 31 December 2015:

	Demand	Up to 1 Month	1 – 3 Months	3 – 6 Months	6 month – 1 year	1 year and over	Total
Saving Deposits	58	-	-	-	-	89	147
Foreign Currency Deposits	17.223	194	2.690	487	-	1.342	21.936
Residents in Turkey	10.143	-	2.088	-	-	-	12.231
Residents Abroad	7.080	194	602	487	-	1.342	9.705
Public Sector Deposits	-	-	-	-	-	-	-
Commercial Deposits	8.143	757	-	-	-	-	8.900
Other Institutions Deposits	23	-	-	-	-	-	23
Gold Vault	-	-	-	-	-	-	-
Bank Deposits	63.667	-	30.406	-	-	-	94.073
The CBRT	-	-	-	-	-	-	-
Domestic Banks	-	-	-	-	-	-	-
Foreign Banks	63.667	-	30.406	-	-	-	94.073
Special Finance Institutions	-	-	-	-	-	-	-
Other	-	-	-	-	-	-	-
Total	**89.114**	**951**	**33.096**	**487**	**-**	**1.431**	**125.079**

(ii) 31 December 2014:

	Demand	Up to 1 Month	1 – 3 Months	3 – 6 Months	6 month – 1 year	1 year and over	Total
Saving Deposits	71	4	-	-	-	3	78
Foreign Currency Deposits	19.375	169	2.809	488	-	9.509	32.350
Residents in Turkey	11.320	-	2.137	-	-	-	13.457
Residents Abroad	8.055	169	672	488	-	9.509	18.893
Public Sector Deposits		-	-	-	-	-	-
Commercial Deposits	2.501	732	-	-	-	-	3.233
Other Institutions Deposits	48	-	-	-	-	-	48
Gold Vault		-	-	-	-	-	-
Bank Deposits	84.746	-	-	-	-	-	84.746
The CBRT	-	-	-	-	-	-	-
Domestic Banks	-	-	-	-	-	-	-
Foreign Banks	84.746	-	-	-	-	-	84.746
Special Finance Institutions	-	-	-	-	-	-	-
Other	-	-	-	-	-	-	-
Total	**106.741**	**905**	**2.809**	**488**	**-**	**9.512**	**120.455**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES (Continued):

a. Information on deposits (Continued):

2. Information on saving deposits insurance:

(i) Information on saving deposits under the guarantee of the saving deposits insurance fund and amounts exceeding the limit of the deposit insurance fund:

	Under the Guarantee of Deposit Insurance		Exceeding the Limit of Deposit Insurance	
	31 December 2015	31 December 2014	31 December 2015	31 December 2014
Saving Deposits	145	77	2	1
Foreign Currency Saving Deposits	2.171	2.449	3.034	1.544
Other Deposits in the Form of Saving Deposits	-	-	-	-
Foreign Branches' Deposits under Foreign Authorities' Insurance	-	-	-	-
Off-Shore Banking Regions' Deposits under Foreign Authorities' Insurance	-	-	-	-

(ii) Saving deposits which are not under the guarantee of deposit insurance fund:

None (31 December 2014: None).

(iii) Saving deposits which are not under the guarantee of saving deposit insurance fund of real persons:

	31 December 2015	31 December 2014
Foreign Branches' Deposits and other accounts	-	-
Saving Deposits and Other Accounts of Controlling Shareholders and Deposits of their Mother, Father, Spouse, Children in care	-	-
Saving Deposits and Other Accounts of President and Members of Board of Directors, CEO and Vice Presidents and Deposits of their Mother, Father, Spouse, Children in care	19	131
Saving Deposits and Other Accounts in Scope of the Property Holdings Derived from Crime Defined in Article 282 of Turkish Criminal Law No:5237 dated 26.09.2004	-	-
Saving Deposits in Deposit Bank Which Established in Turkey in Order to Engage in Off-shore Banking Activities Solely	-	-

b. Information on trading derivative financial liabilities:

As of 31 December 2015 and 31 December 2014, the Branch has no trading derivative financial liabilities.

c. Information on borrowings:

1. Information on banks and other financial institutions:

As of 31 December 2015, the Branch has no borrowings (31 December 2014: None).

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES (Continued):

c. Information on borrowings (Continued):

2. Information on maturity structure of borrowings:

As of 31 December 2015, the Branch has no borrowings (31 December 2014: None).

d. Information on other liabilities:

Other liabilities amount to TL 1.296 thousand (31 December 2014: TL 1.096 thousand) and do not exceed 10% of the total balance sheet.

e. Information on financial leasing agreements:

As of 31 December 2015 and 31 December 2014, the Branch has no financial lease payables.

f. Information on hedging derivative financial liabilities:

None (31 December 2014: None).

g. Information on provisions:

1. Information on general loan loss provisions:

	31 December 2015	31 December 2014
General Loan Loss Provisions		
Loans and Receivables in Group I	776	724
- Additional Provision for Loans and Receivables with extended maturities	5	-
Loans and Receivables in Group II	-	-
- Additional Provision for Loans and Receivables with extended maturities	-	-
Non-Cash Loans	89	84
Others	1.422	1.184
Total	**2.287**	**1.992**

2. Information on reserve for employee rights:

The provision for employee rights has been calculated by estimating the present value of the future probable obligation of the Branch arising from the retirement of its employees. TAS 19 requires actuarial valuation methods to be developed to estimate the enterprise's obligation for such benefits. Accordingly, the following actuarial assumptions were used in the calculation of the total liability.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES (Continued):

g. Information on provisions (Continued):

2. Information on reserve for employee rights (Continued):

	31 December 2015	31 December 2014
Discount rate (%)	2,84	3,78
Rate for the Probability of Retirement (%)	94,21	92,76

The principal actuarial assumption is that the maximum liability will increase in line with inflation. Thus, the discount rate applied represents the expected real rate after adjusting for the effects of future inflation. As the maximum liability is revised semi-annually, the maximum amount of TL 4.092,53 (1 January 2015: TL 3.541,37) effective from January 1, 2015 has been taken into consideration in calculating the reserve for employment termination benefits.

Movements in the reserve for employment termination benefits during the periods are as follows:

	31 December 2015	31 December 2014
Prior Period Ending Balance	**887**	**882**
Provisions Recognised During the Period	206	33
Actuarial loss	386	-
Paid During the Period (-)	(35)	(17)
Reversed During the Period (-)	-	(11)
Balance at the End of the Period	**1.444**	**887**

In addition as of , the Branch has provided a provision for unused vacation rights amounting to TL 357 thousand as of 31 December 2015 (31 December 2014: TL 314 thousand).

3. Information on Provisions Related with Foreign Currency Difference of Foreign Indexed Loans:

As of 31 December 2015, the Branch has no provision related to foreign currency difference of foreign indexed loans (31 December 2014: TL None).

4. Specific provisions for non-cash loans that are non-funded and non-transformed into cash:

As of 31 December 2015, the Branch has specific provision for non-cash loans amounting to TL 78 thousand (31 December 2014: TL 62 thousand).

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES (Continued):

5. Information on other provisions:

(i) Information on provisions for possible risks::

As of 31 December 2015 and 31 December 2014, the Branch has no provisions for possible risks.

(ii) Other provisions if they exceed 10% of total provisions:

From the previous period of 2007 some employees and previous employees of the Branch sued the Branch claiming their employee benefits related to previous periods. As of 31 December 2015, the Branch had prudently provided a provision amounting to TL 200 (31 December 2014: TL 344 thousand, the remaining TL 62 thousand provision is provided for imdemnified cash loans). The remaining provision amounting to TL 78 thousand is provided for imdemnified cash loans. Mentioned provisions are classified in the balance sheet under "Other Provisions".

h. Information on tax payable:

1. Information on current tax payable:

(i) Information on taxes payable:

	31 December 2015	31 December 2014
Corporate Tax Payable	536	511
Taxation of Marketable Securities	-	1
Property Tax	2	2
Banking Insurance Transaction Tax (BITT)	37	18
Foreign Exchange Transaction Tax	-	-
Value Added Tax Payable	8	8
Other	85	96
Total	**668**	**636**

(ii) Information on premium payables:

	31 December 2015	31 December 2014
Social Security Premiums – Employee	36	33
Social Security Premiums – Employer	56	50
Bank Social Aid Pension Fund Premiums – Employee	-	-
Bank Social Aid Pension Fund Premiums – Employer	-	-
Pension Fund Membership Fees and Provisions – Employee	-	-
Pension Fund Membership Fees and Provisions – Employer	-	-
Unemployment Insurance – Employee	2	2
Unemployment Insurance – Employer	5	5
Other	-	-
Total	**99**	**90**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES (Continued):

2. Information on deferred tax liability:

The Branch has no deferred tax liability (31 December 2014: None).

i. Information on liabilities for property and equipment held for sale and related to discontinued operations:

None (31 December 2014: None).

j. Explanations on subordinated loans:

The Branch has no subordinated loans as of 31 December 2015 and 31 December 2014.

1. Presentation of paid-in capital: Since the entity has the status of a branch, paid-in capital is not received in exchange for shares.

2. The amount of paid-in capital, explanation on whether the registered share capital system is used, if this system is used the amount of registered share capital:

Capital system	Paid-in capital	Ceiling
Registered Share Capital	156.914	156.914

3. Information on share capital increases and their sources; other information on increased capital shares in current period:

None (31 December 2014: None).

4. Information on share capital increases from capital reserves in current period:

None (31 December 2014 None).

5. Information on capital commitments, the general purpose and the estimated sources needed for these commitments until the end of the fiscal year and the subsequent interim period:

None (31 December 2014: None).

6. Information on income, profitability and liquidity of the Group by taking into consideration prior period indicators and uncertainities and their possible effects on shareholders' equity:

There is no adverse change expected in the profitability and liquidty of the Branch.

7. Summarised information about privileges given to shares representing the capital:

None (31 December 2014: None).

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES (Continued):

l. Information on marketable securities value increase fund:

	31 December 2015		31 December 2014	
	TL	FC	TL	FC
From Investments in Associates, Subsidiaries and Joint Ventures	-	-	-	-
Valuation Difference	(781)	-	275	-
Foreign Currency Difference	-	-	-	-
Total	**(781)**	-	**275**	-

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

III. EXPLANATIONS AND NOTES RELATED TO OFF BALANCE SHEET ACCOUNTS:

a. Explanations on off-balance sheet commitments:

1. Type and amount of irrevocable commitments:

As of 31 December 2015, all commitments of the Branch are irrevocable. The commitments for cheques is TL 113 thousand (31 December 2014: TL 119 thousand).

2. Type and amount of probable losses and obligations arising from off-balance sheet items:

The Branch has no probable losses arising from off-balance sheet items. Obligations arising from the off-balance sheet are disclosed in "Off-balance sheet commitments".

(i). Non-cash loans including guarantees, bank avalized and acceptance loans, collaterals that are accepted as financial commitments and other letters of credit:

	31 December 2015	31 December 2014
Bank acceptance loans	-	-
Letters of credit	311	248
Other guarantees	-	-
Total	**311**	**248**

(ii). Revocable, irrevocable guarantees and other similar commitments and contingencies:

	31 December 2015	31 December 2014
Revocable letters of guarantee	44	1.251
Irrevocable letters of guarantee	893	2.212
Letters of guarantee given in advance	-	379
Guarantees given to customs	3.000	6.000
Other letters of guarantees	-	-
Total	**3.937**	**9.842**

3. (i) Total amount of non-cash loans:

	31 December 2015	31 December 2014
Non-cash Loans Given for the Purpose of Obtaining Cash Loans	-	-
With Original Maturity of 1 Year or Less Than 1 Year	-	-
With Original Maturity of More Than 1 Year	-	-
Other Non-cash Loans	4.248	10.090
Total	**4.248**	**10.090**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

III. EXPLANATIONS AND NOTES RELATED TO OFF BALANCE SHEET ACCOUNTS (Continued):

a. Explanations on off-balance sheet commitments (Continued):

(ii) Information on sectoral risk concentrations of non-cash loans:

	31 December 2015				31 December 2014			
	TL	(%)	FC	(%)	TL	(%)	FC	(%)
Agricultural	-	-	-	-	-	-	-	-
Farming and Raising livestock.	-	-	-	-	-	-	-	-
Forestry	-	-	-	-	-	-	-	-
Fishing	-	-	-	-	-	-	-	-
Manufacturing	-	-	-	-	**3.000**	**39,09**	-	-
Mining	-	-	-	-	-	-	-	-
Production	-	-	-	-	3.000	39,09	-	-
Electric, Gas and Water	-	-	-	-	-	-	-	-
Construction	-	-	**427**	**44,43**	**3.000**	**39,09**	**758**	**31,37**
Services	**3.002**	**91,33**	**513**	**53,38**	**1.233**	**16,07**	**1.639**	**67,84**
Wholesale and Retail Trade	3.002	91,33	354	36,84	1.233	16,07	1.499	62,04
Hotel, Food and Beverage	-	-	-	-	-	-	-	-
Transportation and Telecommunication	-	-	48	4,99	-	-	42	1,74
Financial Institutions	-	-	-	-	-	-	-	-
Real Estate and Leasing Services	-	-	-	-	-	-	-	-
Self-Employment Services	-	-	111	11,55	-	-	98	4,06
Education Services	-	-	-	-	-	-	-	-
Health and Social Services	-	-	-	-	-	-	-	-
Other	**285**	**8,67**	**21**	**2,19**	**441**	**5,75**	**19**	**0,79**
Total	**3.287**	**100,00**	**961**	**100,00**	**7.674**	**100,00**	**2.416**	**100,00**

(iii) Information on non-cash loans classified in Group I and Group II:

31 December 2015	**Group I**		**Group II**	
	TL	**FC**	**TL**	**FC**
Non- Cash Loans				
Letters of Guarantee	3.287	650	-	-
Bank Acceptances	-	-	-	-
Letters of Credit	-	311	-	-
Endorsements	-	-	-	-
Underwriting Commitments	-	-	-	-
Factoring Guarantees	-	-	-	-
Other Commitments and Contingencies	-	-	-	-
Total	**3.287**	**961**	-	-

31 December 2014	**Group I**		**Group II**	
	TL	**FC**	**TL**	**FC**
Non- Cash Loans				
Letters of Guarantee	7.674	2.168	-	-
Bank Acceptances	-	-	-	-
Letters of Credit	-	248	-	-
Endorsements	-	-	-	-
Underwriting Commitments	-	-	-	-
Factoring Guarantees	-	-	-	-
Other Commitments and Contingencies	-	-	-	-
Total	**7.674**	**2.416**	-	-

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

III. EXPLANATIONS AND NOTES RELATED TO OFF BALANCE SHEET ACCOUNTS (Continued):

a. Explanations on off-balance sheet commitments (Continued):

(iv) Maturity distribution of non-cash loans:

31 December 2015 [1]	Indefinite	Up to 1 year	1-5 Years	Above 5 years	Total
Letter of Credit	311	-	-	-	311
Letter of Guarantee	3.273	576	88	-	3.937
Other	-	-	-	-	-
Total	**3.584**	**576**	**88**	-	**4.248**

31 December 2014 [1]	Indefinite	Up to 1 year	1-5 Years	Above 5 years	Total
Letter of Credit	248	-	-	-	248
Letter of Guarantee	7.674	1.251	917	-	9.842
Other	-	-	-	-	-
Total	**7.922**	**1.251**	**917**	-	**10.090**

[1] The distribution is based on the original maturities.

b. Explanations on derivative financial instruments:

The Branch has no derivative financial instruments as of 31 December 2015 and 31 December 2014.

c. Explanations on loan derivatives and risks imposed:

None (31 December 2014: None).

d. Explanations on contingent liabilities and assets:

From the previous period of 2007 some employees and previous employees of the Branch sued the Branch claiming their employee benefits related to previous periods. As of 31 December 2015, the Branch had prudently provided a provision amounting to TL 200 thousand (31 December 2014: TL 344 thousand). The remaining provision amounting to TL 78 thousand (31 December 2014: 62 TL) is provided for imdemnified cash loans. Mentioned provisions are classified in the balance sheet under "Other Provisions".

e. Explanations on activities carried out on behalf and account of other parties:

The Branch does not carry out trading, custody and fund management services on behalf of others and on their account as of 31 December 2015 and 31 December 2014.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

IV. EXPLANATIONS AND NOTES RELATED TO ON INCOME STATEMENT:

a. Information on interest income:

1. Information on interest income on loans:

	31 December 2015		31 December 2014	
	TL	**FC**	**TL**	**FC**
Short-Term Loans	141	33	240	150
Medium and Long-Term Loans	579	66	1.463	1
Interest on Non-Performing loans	96	2.315	-	-
Premiums Received from the Resource Utilisation Support Fund	-	-	-	-
Total	**816**	**2.414**	**1.703**	**151**

2. Information on interest income on banks:

	31 December 2015		31 December 2014	
	TL	**FC**	**TL**	**FC**
From the CBRT	35	20	4	-
From Domestic Banks	-	-	-	-
From Foreign Banks	-	-	-	-
Headquarters and Branches Abroad	2.459	687	1.830	-
Total	**2.494**	**707**	**1.834**	**-**

3. Information on interest income on marketable securities:

	31 December 2015		31 December 2014	
	TL	**FC**	**TL**	**FC**
From Trading Financial Assets	-	-	-	-
From Financial Assets at Fair Value Through Profit or Loss	-	-	-	-
From Available-for-Sale Financial Assets	13.117	-	10.188	678
From Held-to-Maturity Investments	-	-	-	-
Total	**13.117**	**-**	**10.188**	**678**

4. Information on interest income received from investments in associates and subsidiaries:

The Branch has no interest income received from investments in associates and subsidiaries (31 December 2014: None).

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

IV. EXPLANATIONS AND NOTES RELATED TO ON INCOME STATEMENT (Continued):

b. Information on interest expense:

1. Information on interest expense on borrowings:

The Branch has no interest expense on borrowings (31 December 2014:None).

2. Information on interest expense given to investments in associates and subsidiaries:

The Branch has no interest expense given to investments in associates and subsidiaries (31 December 2014: None).

3. Interest expense on Securities Issued:

The Branch has no interest expense given to securities issued (31 December 2014: None).

4. Maturity structure of the interest expense on deposits:

There are no deposits with seven days notification and accumulative deposits.

31 December 2015	Demand Deposits	Time Deposit					
		Up to 1 Month	1 – 3 Months	3 – 6 Months	6 Months – 1 Year	1 Year and Over	Total
TL							
Bank Deposits	-	-	-	-	307	-	307
Saving Deposits	-	-	-	-	-	3	3
Public Sector Deposits	-	-	-	-	-	-	-
Commercial Deposit	-	29	-	-	-	-	29
Other Deposits	-	-	-	-	-	-	-
Total	-	29	-	-	307	3	339
FC							
Foreign Currency Deposits	-	1	7	3	-	29	40
Bank Deposits	-	-	-	-	37	-	-
Gold Vault	-	-	-	-	-	-	-
Total	-	1	7	3	37	29	77
Grand Total	-	30	7	3	344	32	416

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

IV. EXPLANATIONS AND NOTES RELATED TO ON INCOME STATEMENT (Continued):

b. Information on interest expense: (Continued)

31 December 2014	Demand Deposits	Time Deposit					
		Up to 1 Month	1 – 3 Months	3 – 6 Months	6 Months – 1 Year	1 Year and Over	Total
TL							
Bank Deposits	25	-	-	-	-	-	25
Saving Deposits	-	-	-	-	-	-	-
Public Sector Deposits	-	-	-	-	-	-	-
Commercial Deposit	-	29	-	-	-	-	29
Other Deposits	-	-	-	-	-	-	-
Total	**25**	**29**	**-**	**-**	**-**	**-**	**54**
FC							
Foreign Currency Deposits	-	2	25	10	-	160	197
Bank Deposits	-	-	-	-	-	-	-
Gold Vault	-	-	-	-	-	-	-
Total	**-**	**2**	**25**	**10**	**-**	**160**	**197**
Grand Total	**25**	**31**	**25**	**10**	**-**	**160**	**251**

c. Explanations on dividend income:

None (31 December 2014: None).

d. Explanations on trading loss/income (Net):

	31 December 2015	31 December 2014
Income	**8.480**	**6.808**
Income from Capital Market Transactions	-	-
Derivative Financial Transactions	-	-
Other	-	-
Foreign Exchange Gains	8.480	6.808
Loss (-)	**(5.635)**	**(6.167)**
Loss from Capital Market Transactions	-	-
Derivative Financial Transactions	-	-
Other	-	-
Foreign Exchange Loss	(5.635)	(6.167)
Net Income / Loss	**2.845**	**641**

e. Explanations on other operating income:

The Branch's other operating income; provision no longer required income is TL 158 thousand (31 December 2014: Provision no longer required income of TL 482 Thousand).

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

IV. EXPLANATIONS AND NOTES RELATED TO ON INCOME STATEMENT (Continued):

f. Provision expenses related to loans and other receivables of the Branch:

	31 December 2015	31 December 2014
Specific Provisions for Loans and Other Receivables	100	1.079
III. Group Loans and Receivables	-	-
IV. Group Loans and Receivables	-	-
V. Group Loans and Receivables	100	1.079
General Provision Expenses	72	77
Provision Expense for Possible Risks	-	-
Marketable Securities Impairment Expense	-	-
Financial Assets at Fair Value Through Profit or Loss	-	-
Available-for-sale Financial Assets	113	-
Investments in Associates, Subsidiaries and Held-to-Maturity Securities Value Decrease	-	-
Investments in Associates	-	-
Subsidiaries	-	-
Joint Ventures	-	-
Held-to-maturity Securities	-	-
Other	-	-
Total	**285**	**1.156**

g. Information related to other operating expenses:

	31 December 2015	31 December 2014
Personnel Expenses	6.152	5.625
Reserve for Employee Termination Benefits	206	33
Bank Social Aid Provision Fund Deficit Provision	-	-
Impairment Expenses of Fixed Assets	-	-
Depreciation Expenses of Fixed Assets	316	318
Impairment Expenses of Intangible Assets	-	-
Goodwill Impairment Expenses	-	-
Amortization Expenses of Intangible Assets	186	213
Impairment Expenses of Equity Participations for Which Equity Method is Applied	-	-
Impairment Expenses of Assets Held for Resale	-	-
Depreciation Expenses of Assets Held for Resale	-	-
Impairment Expenses of Fixed Assets Held for Sale	-	-
Other Operating Expenses	1.213	1.055
Operational Leasing Expenses	135	135
Maintenance Expenses	87	80
Advertisement Expenses	11	9
Other Expenses	980	831
Loss on Sales of Assets	-	-
Other	987	957
Total	**9.060**	**8.201**

h. Explanations on profit and loss from continuing operations before tax:

Profit and loss before tax consists of net interest income amounting to TL 19.538 thousand (31 December 2014: TL 15.129 thousand), net fee and commission income amounting to TL 817 (31 December 2014: TL 1.543 thousand) and total other operating expense amounting TL 9.060 thousand (31 December 2014: TL 8.201 thousand).

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

IV. EXPLANATIONS AND NOTES RELATED TO ON INCOME STATEMENT (Continued):

i. Explanations on tax provision:

1. Explanations on calculated current tax income or expense and deferred tax income or expense:

As of 31 December 2015, the Branch has a current tax expense of TL 2.717 thousand (31 December 2014: TL 1.880 thousand) and deferred tax expense of TL 89 thousand (31 December 2014: TL 113 thousand income).

2. Explanations on deferred tax income or expense arising from the temporary differences occurred or closed:

The Branch calculated net deferred tax expense of TL 89 (31 December 2014: deferred tax income of TL 113) due to the occurrence of temporary differences as of 31 December 2015.

3. Explanations on reflection of temporary difference, financial loss, diminution of tax and exceptions on income statement:

As of 31 December 2015, the Branch has TL 89 deferred tax expense due to the occurrence of temporary differences (31 December 2014: deferred tax income of TL 113 thousand).

j. Explanations on net income/loss for the period:

To understand the Branch's current year performance, the characteristics of income or expense items arising from common banking transactions, and the dimension and recurrence of these transactions are not required.

k. Other items do not exceed 10% of the total income statement.

V. EXPLANATIONS AND NOTES RELATED TO CHANGES IN SHAREHOLDERS' EQUITY:

a. Explanation on profit distributions:

Retained earnings of the Branch can be distributed through the permission of the BRSA.

b. Amounts transferred to legal reserves:

None (31 December 2014: None).

c. Information on capital increase:

None (31 December 2014: None).

d. Explanations on available-for-sale financial assets:

"Unrealised gain/loss" arising from changes in the fair value of securities classified as available-for-sale are not recognised in current year profit or loss statement but recognised in the "Marketable securities value increase fund" account under shareholders' equity, until the financial assets are derecognised, sold, disposed of or impaired.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

VI. EXPLANATIONS AND DISCLOSURES ON STATEMENT OF CASH FLOWS:

a. Information on cash and cash equivalents:

1. Components of cash and cash equivalents and the accounting policy applied in their determination:

   Cash and effectives together with demand deposits at banks including the CBRT are defined as "Cash"; interbank money market placements and time deposits in banks with original maturities less than three months are defined as "Cash Equivalents".

2. Effect of a change on the accounting policies: None (31 December 2014: None).

3. Reconciliation of cash and cash equivalent items with balance sheet and cash flow statements:

   (i). Information on cash and cash equivalents at the beginning of the year:

	31 December 2015	31 December 2014
Cash	**105.232**	**143.457**
Cash and Effectives	32.089	37.568
Demand Deposits in Banks	73.143	105.889
Cash Equivalents	**56.908**	**8.500**
Interbank Money Market Placements	6.000	8.500
Time Deposits in Banks	50.908	-
Total Cash and Cash Equivalents	**162.140**	**151.957**

The total amount from the operations the in prior period gives the total cash and cash equivalents amount at the beginning of the current period.

(ii). Information on cash and cash equivalents at the end of year:

	31 December 2015	31 December 2014
Cash	**101.644**	**105.232**
Cash and Effectives	15.817	32.089
Demand Deposits in Banks	85.827	73.143
Cash Equivalents	**65.627**	**56.908**
Interbank Money Market Placements	7.200	6.000
Time Deposits in Banks	58.427	50.908
Total Cash and Cash Equivalents	**167.271**	**162.140**

b. Information on cash and cash equivalent assets of the Branch that is not available for free use due to legal restrictions or other reasons:

None (31 December 2014: None).

c. Explanations on the other cash flow items and effect of changes in foreign exchange rates on cash and cash equivalents:

Decrease in the "Other" item amounting to TL (2.708) thousand (31 December 2014: TL 3.971 thousand decrease) which is classified under "Cash flows from banking operations"consists mainly of items such as fees and commissions, foreign exchange gains/losses and other operating expenses excluding personnel expenses.

The effect of changes in the foreign currency rates on the cash and cash equivalents is calculated approximately TL 3.728 thousand as of 31 December 2015 (31 December 2014: TL 1.706 thousand).

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

VII. EXPLANATIONS AND NOTES RELATED TO BRANCH'S RISK GROUP:

The volume of transactions relating to the Branch's risk group, outstanding loan and deposit transactions and profit and loss of the period:

1. 31 December 2015:

	Investments in associates, subsidiaries and joint ventures		Direct and indirect shareholders of the Branch		Other real and legal persons that have been included in the risk group	
Branch's Risk Group [(1), (2)]	**Cash**	**Non-Cash**	**Cash**	**Cash**	**Non-Cash**	**Cash**
Loans and Other Receivables						
Balance at the Beginning of the Period	-	-	-	-	53.464	-
Balance at the End of the Period	-	-	-	-	61.127	-
Interest and Commission Income Received	-	-	-	-	**3.119**	-

(1) Defined in the 49th article of subsection 2 of the Banking Act No. 5411.
(2) The information in table above includes banks as well as loans.

2. 31 December 2014:

	Investments in associates, subsidiaries and joint ventures		Direct and indirect shareholders of the Branch		Other real and legal persons that have been included in the risk group	
Branch's Risk Group [(1), (2)]	**Cash**	**Non-Cash**	**Cash**	**Cash**	**Non-Cash**	**Cash**
Loans and Other Receivables						
Balance at the Beginning of the Period	-	-	-	-	25.408	14
Balance at the End of the Period	-	-	-	-	53.464	-
Interest and Commission Income Received	-	-	-	-	**3.667**	2

(1) Defined in the 49th article of subsection 2 of the Banking Act No. 5411.
(2) The information in table above includes banks as well as loans.

3. Information on deposits of the Branch's risk group:

Branch's risk group [(1)]	Investments in Associates, Subsidiaries and Joint Ventures		Direct and Indirect Shareholders of the Branch		Other Real and Legal Persons That Have Been Included in the Risk Group	
Deposit	**31 December 2015**	**31 December 2014**	**31 December 2015**	**31 December 2014**	**31 December 2015**	**31 December 2014**
Balance at the Beginning of the Period	-	-	-	-	76.010	53.854
Balance at the End of the Period [(2)]	-	-	-	-	83.696	76.010
Interest Expense on Deposits	-	-	-	-	37	-

(1) Defined in the Subsection 2, article 49 of the Banking Act No. 5411.

(2) As of 31 December 2015, the TL 83.696 thousand of the TL 67.621 thousand included in balance sheet Deposits – Risk Group is composed of Bank Mellat Head Office. TL 16.075 thousand is composed of Iran Central Bank.

(As of 31 December 2014, the TL 76.010 thousand of the TL 62.770 thousand included in balance sheet Deposits – Risk Group is composed of Bank Mellat Head Office. TL 13.240 thousand is composed of Iran Central Bank.)

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

VII. EXPLANATIONS AND NOTES RELATED TO BRANCH'S RISK GROUP (Continued):

The volume of transactions relating to the Branch's risk group, outstanding loan and deposit transactions and profit and loss of the period (Continued):

4. Information on borrowings from the Branch's risk group:

Branch's risk group [1]	Associates and subsidiaries		Direct and indirect shareholders of the Branch		Other items that have been included in the risk group[2]	
Borrowings	31 December 2015	31 December 2014	31 December 2015	31 December 2014	31 December 2015	31 December 2014
Beginning of the Period	-	-	-	-	-	-
End of the Period	-	-	-	-	-	-
Interest Expense	-	-	-	-	-	-

[1] Defined in the 49th article of subsection 2 of the Banking Act No. 5411.
[2] 31 December 2015- None (31 December 2014: None).

5. Information on forward and option agreements and other similar derivative transactions with the Branch's risk group:

   The Branch has no forward and option agreements and other similar derivative transactions as of 31 December 2015 and 31 December 2014.

6. Information on benefits provided to key management:

   As of 31 December 2015, benefits provided to the Branch's key management amount to TL 1.572 thousand (31 December 2014: TL 1.708 thousand).

VIII. EXPLANATIONS RELATED TO THE DOMESTIC, FOREIGN, OFF-SHORE BRANCHES AND FOREIGN REPRESENTATIVES OF THE BRANCH

	Number	Number of Employees			
Domestic Branch	3	48			
			Country of Incorporation		
Foreign Rep. Offices					
				Total Assets	Statutory Share Capital
Foreign Branch					
Off-Shore Banking Region Branch					

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

IX. EXPLANATIONS AND NOTES RELATED TO SUBSEQUENT EVENTS:

Shareholding structure of the Bank Mellat of Tehran-Iran presented herein below as at 31 December 2015, holding the whole equity of the Branch has been reported to the BRSA (Banking Regulation and Supervision Agency) in the statement dated 11 January 2016 and with No. 236.

31 December 2015

No	Shareholder	Rate
1	JUSTICE SHARE RECIPIENTS (PROVINCIAL INVESTORS)	30,00
2	ISLAMIC REPUBLIC OF IRAN	18,95
3	SABA TAMIN INVESTMENT CO.	9,91
4	BANK MELLAT'S STAFF FUTURE SECURITY FUND	6,99
5	SOCIAL SECURITY ORGANISATION OF IRAN	3,81
6	MELLAT FINANCIAL GROUP CO.	3,43
7	MOEIN ATIYE KHAHAN COOPERATIVE CO.	2,90
8	NATIONAL IRANIAN OIL REFINING AND DISTRIBUTION CO.	1,49
9	IRAN'S OIL INDUSTRY PENSION FUND INVESTMENT CO.	1,21
10	SHIRIN ASAL CO.	1,21
11	IRAN NATIONAL INVESTMENT CO.	1,12
12	OTHER SHARES (LOWER THAN 1%)	18,98
	TOTAL	**100,00**

31 December 2014

No	Shareholder	Rate
1	JUSTICE SHARE RECIPIENTS (PROVINCIAL INVESTORS)	30,00
2	ISLAMIC REPUBLIC OF IRAN	19,07
3	SOCIAL SECURITY ORGANISATION OF IRAN	9,99
4	BANK MELLAT'S STAFF FUTURE SECURITY FUND	5,92
5	SABA TAMIN INVESTMENT CO.	5,70
6	MELLAT FINANCIAL GROUP CO.	3,99
7	BANK MELLAT'S PERSONNEL PREFERRED SHARES	3,71
8	MOEIN ATIYE KHAHAN COOPERATIVE CO.	1,78
9	NATIONAL IRANIAN OIL REFINING AND DISTRIBUTION CO.	1,75
10	IRAN'S OIL INDUSTRY PENSION FUND INVESTMENT CO.	1,21
11	SHIRIN ASAL CO.	1,21
12	IRAN NATIONAL INVESTMENT CO.	1,11
13	OTHER SHARES (LOWER THAN 1%)	14,56
	TOTAL	**100,00**

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

IX. EXPLANATIONS AND NOTES RELATED TO SUBSEQUENT EVENTS:

Branch has been applied to BRSA on 18 February 2015 and with No. 1022 in order to increase capital from TL 156.914 reach to TL 200.000 by increasing TL 40.159 from internal resources and TL 2.936 from cash, the total amount of increase is TL 43.086.

Due to the result of agreement made on 17 January 2016 between P5+1 and Islamic Republic of Iran, economic sanctions against Islamic Republic of Iran abolished. Branch has decided to activate domestic and abroad electronical funds transfer system.

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

SECTION SIX

OTHER EXPLANATIONS AND NOTES

I. OTHER EXPLANATIONS ON THE BRANCH'S OPERATIONS:

None.

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

SECTION SEVEN

EXPLANATIONS ON INDEPENDENT AUDITOR'S REPORT

I. EXPLANATIONS ON INDEPENDENT AUDITOR'S REPORT:

The unconsolidated financial statements as of 31 December 2015 have been audited by DRT Bağımsız Denetim ve Serbest Muhasebeci Mali Müşavirlik A.Ş. (a member of Deloitte Touche Tohmatsu Limited).

The independent auditor's report is presented preceding the financial statements.

II. EXPLANATIONS AND NOTES PREPARED BY INDEPENDENT AUDITOR:

There is no significant matter or disclousure which may be in connection with the Bank's operations but not explained in the above sections.